Agentic AI - Greater China Hardware Beneficiaries

April 19, 2026 10:35 PM GMT

Agentic AI is set to benefit hardware sectors such as ABF substrates, PCBs, CPU sockets, peripheral connectors/cables, passive components, and assemblers. Key beneficiaries in our coverage include: UMTC, NYPCB, Lotes, FIT, Yageo, GCE, Shennan, Shengyi, Wiwynn, Inspur, and Lenovo.

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Our Global Tech team now sees an agentic AI shift with CPU demand becomir more important as the coordination layer to support AI agents. In this report, focus more specifically on the beneficiaries for our Greater China Tech Hardware coverage, but to see more details from our Global Tech team's original thesis, an the global stock implications, please see Global Technology: Rise of The AI Agen Global Implications.

We believe the enlarged CPU TAM driven by Agentic AI will widen the ABF under-supply gap in 2030 by ~8% vs. our prior forecast. This implies that, all e equal, the ABF substrate under-supply ratio will expand to ~15% (vs our previous forecast of ~7%). In terms of value, this will drive ABF substrate market demand reach ~US$16B by 2030, driving a 17.9% CAGR over 2025-30e (vs our prior forec of 16.1%). In our coverage, **Unimicron** should be the main beneficiary, but **NYPCB** also set to benefit as it supplies ABF substrates for networking chips. However, v the enlarged TAM, we also see increased opportunities for new entrants like **Zhe Ding**. This should also drive increased demand for server PCBs. In the PCB space, **Gold Circuit (GCE)**, **Shennan Circuits**, and **Shengyi** are set to benefit. GCE looks well positioned within US cloud customers, while Shennan Circuits looks well positioned within China cloud customers. We raise our price targets and adjust estimates to reflect this.

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CPU sockets set to grow alongside a larger Server CPU TAM: We believe **Lotes** and **FIT** will be the biggest beneficiaries here, as we estimate they have a combin supply share of 70-80% globally. In addition to CPU sockets, both of these companies also supply other cables and connectors used in general servers, such DRAM connectors and PCIe cable/connectors, that should also see demand upsi

We also see upside to passive component demand, including MLCCs. On our estimates, a 10-15M unit increase in CPU TAM by 2030 would drive 2-3% value upside to the global MLCC market. In addition to MLCCs, there should also be upside for other passive components, including resistors, inductors, tantalum capacitors, etc. In our coverage, we believe **Yageo** is a beneficiary from more pas component content driven by Agentic AI given its comprehensive product portfo

Lastly, more CPUs means **more servers will have to be assembled**, which mean ODM/OEMs like **Wiwynn Inspur**, and **Lenovo**, which have relatively higher expo to the general server market, are set to benefit.

Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*

Unimicron 3037.TW

1Q/2Q OpM	↓ Likely downside surprise	↓ Modest revision lower

- Our 1Q/2Q OpM estimates of 8.4%/10.1% are 91/107bps below the Street, primarily as we factor in slightly less bullish pricing assumption vs. the Street's 20-30% q/q price hikes each quarter.
- Our view is still that this year's pricing increase is mainly driven by material cost inflation and not a result of under-supply, so 20-30% q/q price hikes each quarter does not look reasonable to us.

Nan Ya PCB 8046.TW

1Q/2Q OpM	↓ Likely downside surprise	↓ Modest revision lower

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- Our 1Q/2Q OpM estimates of 9.5%/10.1% are 127/412bps below the Street, primarily as we factor in slightly less bullish pricing assumption vs. the Street's 30%+ q/q price hikes each quarter.
- Our view is still that this year's pricing increase is mainly driven by material cost inflation and not a result of under-supply, so 20-30% q/q price hikes each quarter does not look reasonable to us.

Zhen Ding 4958.TW

1Q OpM / AI outlook	↑ Likely upside surprise	↑ Modest revision higher

- Our 1Q OpM estimates of 5.2% is 138bps above the Street.
- We think this is due to our slightly more bullish expectation for Zhen Ding's FPCB UTR in 1Q, driven by our better-than-seasonality iPhone builds for 2Q due to the continued shipments of new models.
- We think Zhen Ding will see more AI server contribution from 2H26 onwards, as the new GPU platform starts to ship, but its supply share for compute board PCB should remain relatively small.

Lotes Co. Ltd. 3533.TW

1Q OpM and full-year guide	↑ Likely upside surprise	↑ Modest revision higher

- Our 1Q OpM estimate of 31.8% is 45bps above the Street.
- We think this is primarily driven by our higher assumptions for server CPU demand volumes which are margin accretive, but likely also lower AI revenue contributions, which are margin dilutive.
- We think there might be some upsides to Lotes' full year guidance, potentially driven by upward revision to its guidance for the CPU socket business.

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FIT Hon Teng Ltd 6088.HK

1H net profit	↓ Likely downside surprise	— Largely unchanged

- FIT will report its 1H26 results in August.
- We think FIT's 1H net profit might come in below the Street's estimates, as the contribution from the new AI server platform remains limited in 1H.

Inspur Electronic Information 000977.SZ

1Q revenue and full year cloud outlook	↑ Likely upside surprise	↑ Modest revision higher

- Our 1Q revenue estimate of Rmb45.8B (+4% q/q) is 6% above the Street, driven by higher general server shipment assumptions.
- But our 1Q OpM estimate of 1.2% (+102bps q/q) is 26bps below the Street, as we factor in higher mix of cloud revenue, which are lower margin.
- We expect Inspur to provide positive guidance for the full year, driven by strong server demand from its domestic cloud customers.

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Shennan Circuits Co Ltd 002916.SZ

1H non-datacenter demand	↓ Likely downside surprise	— Largely unchanged

- We expect Shennan to guide for weaker-than-expected demand from its non-datacenter related customers in 1H, due to rising selling prices of devices driven by memory price hikes and shortages.
- But the demand strength from server, optical and networking customers should be well-sustained, though we believe this is well-known by the market.

Shengyi Technology Co Ltd. 600183.SS

1H AI demand	↓ Likely downside surprise	— Largely unchanged

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*

- We expect for Shengyi to guide for lower-than-expected AI demand in 1H vs. market expectations, as the new platform will likely only start to ship in bigger volumes from 2H.
- Also, we believe Shengyi's supply share for the new AI server platform will remain relatively small compared to incumbent suppliers like EMC and Doosan (both Not Covered).

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

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Hardware Beneficiaries - ABF Substrates, CPU Sockets, MLCCs

ABF Substrates - Still Early in the Innings

ABF substrate value growth is set to accelerate over the next five years amid a shift in demand to AI. With incremental demand from Agentic AI and the enlarged CPU TAM, we estimate this will drive ABF substrates' value to accelerate at a 17.9% CAGR over 2025-30e (vs 16.1% CAGR without the incremental CPU TAM). ABF substrates will be one of the key component beneficiaries of an enlarged server CPU TAM, we believe. Based on our model, we estimate server CPU ABF substrate demand was ~US$2.5B in CY25 and accounted for ~36% of the global ABF substrate market, with ~32.7M units of server CPUs sold in CY25, according to IDC.

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Agentic AI to broaden the Server CPU ABF Substrate TAM by US$1.2B: With Agentic AI and the upside potential to CPU TAM of 10-15M units by 2030e, we believe this will result in the server CPU ABF substrate market growing to ~US$4.7B by CY30 (~US$1.2B more than our prior forecast). However, we see potential for the market upside to be even slightly higher, as there will be more networking demand to connect all these CPUs together. But, we calculate the *incremental* ~US$1.2B of forecast demand upside from server CPU ABF substrate alone implies 5-10% upside to the overall ABF substrate TAM, all else equal.

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In our Greater China coverage, we believe Unimicron will be the key beneficiary, but we also think NYPCB will indirectly benefit (although it does not have any server CPU exposure), given its exposure to ABF substrates for networking chips.

For Unimicron, we estimate that every incremental 1M CPU units sold could result in a 0.2% revenue upside opportunity, and if we assume the CPU TAM grows by 10-15M units, that implies 2-3% revenue upside to Unimicron, all else equal.

ABF Substrate under-supply widening to ~15% by 2030e (vs ~7% in our prior forecast): For the ABF substrate market, without any new capacity additions, the enlarged CPU TAM would widen the S/D gap. In the scenario that we laid out in February (report here), we estimated the under-supply gap would be ~7% by 2030, but with an incremental 10-15M units of CPU TAM by 2030e, this would drive the under-supply gap to widen to ~15%, which is a meaningful difference and should drive prices and margins up further across the board for all ABF substrate suppliers.

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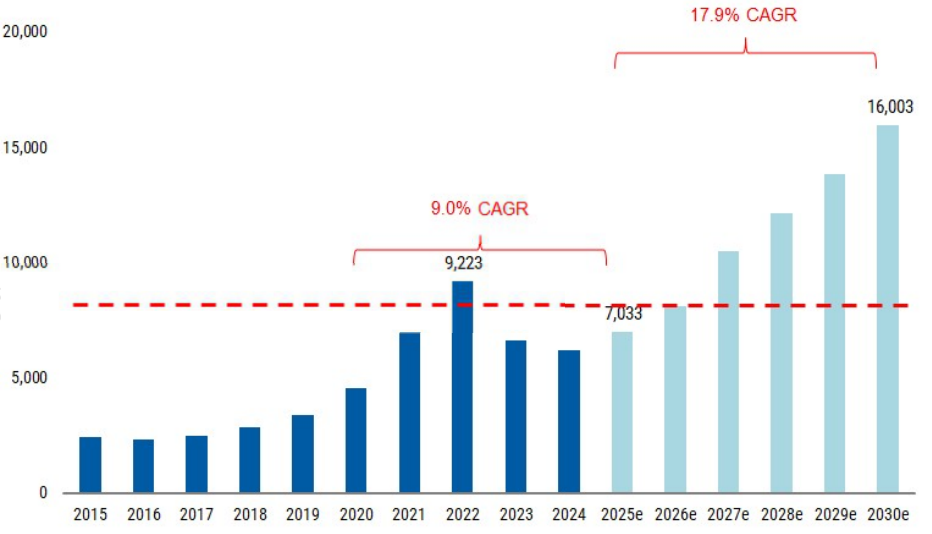
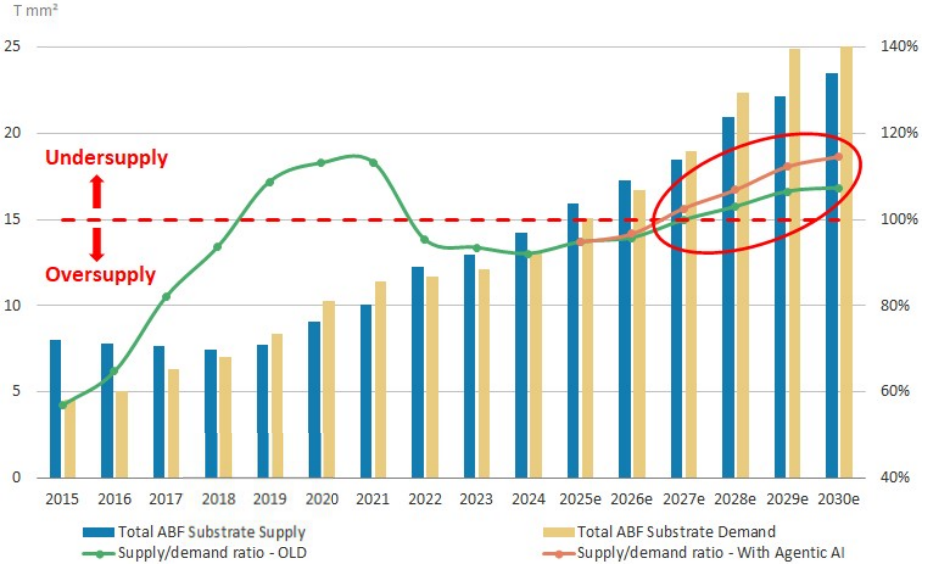
With more demand upside, this would also likely create opportunities for new entrants, like Zhen Ding, to come in and win share. We also view Unimicron and Zhen Ding as well positioned to benefit from any upside ABF substrate demand from China's domestic chips. To date, we have not seen any viable Chinese ABF substrate suppliers with stable yield and quality. So, with the increase of more China chips, whether CPU or GPU, we see the majority of those orders going to Unimcron and/or Zhen Ding.

Exhibit 2: Stronger ABF substrate market growth in the AI era



Source: Company data, Morgan Stanley Research estimates.

Exhibit 3: We estimate Agentic AI to drive 5-10% incremental ABF substrate demand upside by 2030e from the enlarged CPU TAM alone



Source: Company data, Prismark, Morgan Stanley Research estimates.

Exhibit 4: Every 1M CPU demand increase implies 0.2% ABF substrate revenue upside for Unimicron, we estimate

Every 1M Units of total CPU upside	
Server CPU ABF Substrate ASP (US$)	77.8
Revenue upside to Unimicron per 1M CPUs (US$ M)	12.6
Revenue upside to Unimicron per 1M CPUs (NT$ M)	397
Unimicron 2026 total revenue estimate (NT$ M)	169,246
Unimicron ABF revenue upside per 1M CPUs	**0.2%**

Source: Morgan Stanley Research estimates.

Exhibit 5: 10-15M CPU unit increase could drive ~3% ABF substrate revenue upside for Unimicron

If CPU TAM grows 10-15M units...	
Server CPU ABF Substrate ASP (US$)	77.8
Revenue upside to Unimicron if CPU TAM grows 10-15M units (US$ M)	157.6
Revenue upside to Unimicron if CPU TAM grows 10-15M units (NT$ M)	4,964
Unimicron 2026 ABF revenue estimate (NT$ M)	169,246
Unimicron ABF revenue upside if CPU TAM grows 10-15M units	**2.9%**

Source: Morgan Stanley Research estimates.

More CPU Sockets Will Be Needed

CPU Sockets are another component that are set to benefit meaningfully from an enlarged CPU TAM, because every server CPU is accompanied by a CPU socket. Today, the server CPU market is dominated by 3-4 suppliers, and in our coverage we believe the enlarged server CPU TAM will mainly benefit FIT and Lotes. We estimate FIT has around 40% global server CPU socket supply share, while Lotes has ~35%.

On our estimates, every 1M CPU unit increase would drive 0.6% revenue upside for Lotes and 0.2% revenue upside for FIT, purely from increased sockets supplied. Further, we model that 10-15M CPU unit upside could result in ~7% revenue upside to Lotes and ~2% revenue upside to FIT. However, we believe the revenue upside for these two companies could be even higher, because an enlarged CPU TAM would mean more general servers, DRAM connectors, more PCIe connectors, and other connectors and cables, all of which Lotes and FIT have exposure to. So, we believe the overall revenue opportunity and upside potential for Lotes and FIT could be higher.

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Exhibit 6: Every 1M CPU demand increase implies 0.5% CPU socket revenue upside potential for Lotes

Every 1M Units of total CPU upside	
Server CPU Socket ASP (US$)	21.9
Revenue upside to Lotes per 1M CPUs (US$ M)	7.7
Revenue upside to Lotes per 1M CPUs (NT$ M)	241
Lotes 2026 total revenue estimate (NT$ M)	40,488
Lotes CPU Socket upside per 1M CPUs	**0.6%**

Source: Morgan Stanley Research estimates.

Exhibit 7: 10-15M CPU unit increase implies ~7% CPU socket revenue upside potential for Lotes

If CPU TAM grows 10-15M units...	
Server CPU Socket ASP (US$)	21.9
Revenue upside to Lotes if CPU TAM grows 10-15M units (US$ M)	95.7
Revenue upside to Lotes if CPU TAM grows 10-15M units (NT$ M)	3,015
Lotes 2026 total revenue estimate (NT$ M)	41,065
Lotes CPU Socket upside if CPU TAM grows 10-15M units	**7.3%**

Source: Morgan Stanley Research estimates.

Exhibit 8: Every 1M CPU demand increase implies 0.2% CPU socket revenue upside potential for FIT

Every 1M Units of total CPU upside	
Server CPU Socket ASP (US$)	21.9
Revenue upside to FIT per 1M CPUs (US$ M)	8.8
FIT 2026 total revenue estimate (US$ M)	5,483
FIT CPU Socket upside per 1M CPUs	**0.2%**

Source: Morgan Stanley Research estimates.

Exhibit 9: 10-15M CPU unit increase implies ~2% CPU socket revenue upside potential for FIT

If CPU TAM grows 10-15M units...	
Server CPU Socket ASP (US$)	21.9
Revenue upside to FIT if CPU TAM grows 10-15M units (US$ M)	109.4
FIT 2026 ABF revenue estimate (NT$ M)	5,483
FIT CPU Socket upside if CPU TAM grows 10-15M units	**2.0%**

Source: Morgan Stanley Research estimates.

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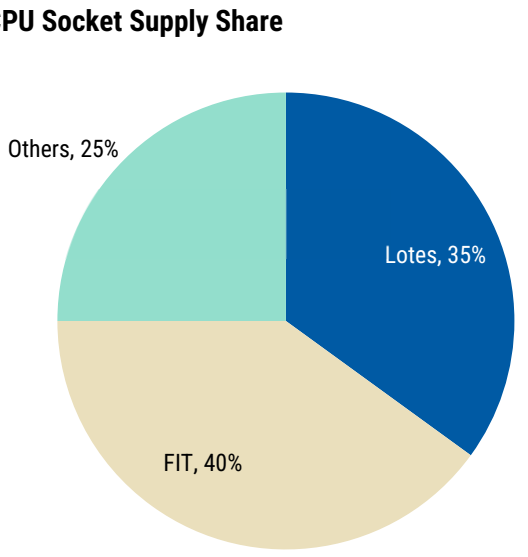
Exhibit 10:

We estimate FIT has ~40% global server CPU supplier share and Lotes has ~35% supplier share



Source: Morgan Stanley Research estimates.

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Passive Components TAM Also Set to Grow

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MLCC and passive components are also put into general servers, so an enlarged server CPU TAM should also drive upside to MLCC and other passive component demand. Different server specifications have different passive components lay-outs and different volume and value content, so it is also difficult to quantify the content. But for simplicity's sake, we estimate ~US$30 MLCC content per general server, which houses on average 2x CPUs today. We quantified the MLCC market for different end segments in our report (Global Technology: MLCC – Quantifying the Cloud & Edge AI Opportunity (11 Sep 2024)).

In the report, we sized the general server MLCC TAM at US$400-500M. According to our Japan electronic components analyst, Shoji Sato, the total MLCC market globally is ~US $15-16B this year, and will likely reach ~US$20B by 2030e (assuming it remains at 5% CAGR from here on. This implies that a 10-15M CPU unit demand increase by 2030e would drive an incremental ~US$500M MLCC value demand, or 2-3% upside to the overall MLCC market globally by 2030e.

For Yageo specifically, we estimate that every ~1M CPU demand increase would result in 0.1% revenue upside, and 10-15M CPU unit upside would result in 1-2% revenue upside, all else equal. However, Yageo also has exposure to inductors, resistors, and tantalum capacitors, which are also present in general servers, so the overall revenue upside potential for Yageo could be higher.

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Exhibit 11: Every 1M CPU demand increase implies 0.1% MLCC revenue upside potential for Yageo

Every 1M Units of total CPU upside	
Server MLCC Content (US$)	30.0
Revenue upside to Yageo per 1M CPUs (US$ M)	4.5
Revenue upside to Yageo per 1M CPUs (NT$ M)	142
Yageo 2026 total revenue estimate (NT$ M)	155,443
Yageo MLCC revenue upside per 1M CPUs	0.1%

Source: Morgan Stanley Research estimates.

Exhibit 12: 10-15M CPU unit increase implies 1-2% MLCC revenue upside potential for Yageo

If CPU TAM grows 10-15M units...	
Server MLCC Content (US$)	30.0
Revenue upside to Yageo if CPU TAM grows 10-15M units (US$ M)	56.3
Revenue upside to Yageo if CPU TAM grows 10-15M units (NT$ M)	1,772
Yageo 2026 total revenue estimate (NT$ M)	158,893
Yageo MLCC revenue upside if CPU TAM grows 10-15M units	1.1%

Source: Morgan Stanley Research estimates.

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Risks

Key risks to our call include:

- Slower-than-expected agentic AI demand pickup, resulting in lower CPU demand volumes;
- Delay to new GPU/ASIC platform launch, leading to lower capacity UTRs and consequently lower margins;
- Weaker-than-expected consumer electronics demand owing to rising selling prices, offsetting the growth from server/networking/optical- related demand for related suppliers;
- Worse-than-expected supply shortage of upstream materials/components, which will cap earnings growth for other players in the supply chain;
- Macro uncertainties that lead to slower-than-expected data center build-outs and consumer spending cuts.

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1Q26 Previews

Unimicron

Our 2Q revenue estimate of NT$40.2B (+7% q/q) is 2% below the Street, and our 1Q/2Q OpM estimates of 8.4%/10.1% (+153/+177bps q/q) are 91/107bps below the Street, primarily as we factor in slightly less bullish pricing assumption vs. the Street's expectations for 20-30% q/q price hikes each quarter. Our view is still that this year's pricing increase is mainly driven by material cost inflation and not a result of under-supply, so 20-30% q/q price hikes each quarter does not look reasonable to us.

NYPCB

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Our 2Q revenue estimate of NT$12.3B (+10% q/q) is 9% below the Street, and our 1Q/2Q OpM estimates of 9.5%/10.1% (+91/+58bps q/q) are 127/412bps below the Street, primarily as we factor in slightly less bullish pricing assumption vs. the Street's expectations for 30%+ q/q price hikes each quarter. Our view is still that this year's pricing increase is mainly driven by material cost inflation and not a result of under-supply, so 20-30% q/q price hikes each quarter does not look reasonable to us.

Zhen Ding

Our 2Q revenue estimate of NT$44.4B (+9% q/q) is 2% below the Street, but our 1Q/2Q OpM estimates of 5.2%/5.4% (-523/+23bps q/q) are 138/34bps above the Street. We think

this is due to our slightly more bullish expectation for Zhen Ding's FPCB UTR in 1Q, driven by our better-than-seasonality estimate for 2Q in view of the continued shipments of new models (note).

Lotes

Our 2Q revenue estimate of NT$10.1B (+8% q/q) is 4% above the Street, and our 1Q/2Q OpM estimates of 31.8%/33.5% (+185/+170bps q/q) are also 45/85bps above the Street, primarily driven by our higher assumptions for server CPU demand volumes which are margin accretive, but likely also lower AI revenue contributions, which are margin dilutive.

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Note: We have factored in preliminary 1Q actual revenues for the Taiwanese stocks in our model.

Inspur

Our 1Q revenue estimate of Rmb45.8B (+4% q/q) is 6% above the Street, driven by higher general server shipment assumptions, but our 1Q OpM estimate of 1.2% (+102bps q/q) is 26bps below the Street, as we factor in higher mix of cloud revenue, which are lower margin. Our 2Q revenue estimate of Rmb50.9B (+11% q/q), is 6% below the Street, with OpM estimate of 1.3% (+12bps q/q) being 44bps below the Street, which we also attribute to higher mix of revenue from cloud customers.

Shennan Circuits

Our 1Q revenue estimate of Rmb6.5B (-6% q/q) is 1% below the Street, with OpM estimate of 16.3% (+90bps q/q) being 81bps above the Street, which we attribute to higher high-margin product shipments (primarily server, networking PCBs). Our 2Q revenue estimate of Rmb7.3B (+14% q/q) is slightly below the Street, and our 2Q OpM estimate of 17.2% (+94bps q/q) is also below the Street. We believe this is driven by the Street's more bullish assumptions for Shennan's optical module PCB shipments.

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Shengyi

Our 1Q revenue estimate of Rmb8.1B (+4% q/q) is slightly below the Street by 4%, with OpM estimate of 16.4% (+31bps q/q) being 60bps below the Street. Our 2Q revenue estimate of Rmb8.9B (+10% q/q) is 6% below the Street, and our 2Q OpM estimate of 17.2% (+85bps q/q) is also below the Street by 88bps. We attribute this to the Street's more bullish expectations for CCL price hikes driven by inflationary costs of CCL materials, mainly including glass cloth, copper and chemicals.

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Exhibit 13: Hardware Components – Morgan Stanley's 1Q/2Q estimates vs. consensus

Revenue	1Q					2Q				
	MSe	q/q	Cons	q/q	Diff.	MSe	q/q	Cons	q/q	Diff.
Unimicron	37,446	8%	36,817	6%	2%	40,171	7%	40,912	11%	-2%
NYPCB	11,177	0%	11,243	1%	-1%	12,302	10%	13,585	21%	-9%
Zhen Ding	40,728	-28%	40,711	-28%	0%	44,438	9%	45,184	11%	-2%
Lotes	9,384	1%	9,057	-2%	4%	10,113	8%	9,695	7%	4%
Inspur	45,797	4%	43,100	-2%	6%	50,909	11%	54,257	26%	-6%
Shennan Circuits	6,462	-6%	6,532	-5%	-1%	7,340	14%	7,507	15%	-2%
Shengyi Tech	8,119	4%	8,493	9%	-4%	8,900	10%	9,499	12%	-6%

OpM	1Q					2Q				
	MSe	q/q	Cons	q/q	Diff.	MSe	q/q	Cons	q/q	Diff.
Unimicron	8.4%	153bps	9.3%	245bps	-91bps	10.1%	177bps	11.2%	193bps	-107bps
NYPCB	9.5%	91bps	10.8%	219bps	-127bps	10.1%	58bps	14.2%	343bps	-412bps
Zhen Ding	5.2%	-523bps	3.8%	-661bps	138bps	5.4%	23bps	5.1%	127bps	34bps
Lotes	31.8%	185bps	31.3%	141bps	45bps	33.5%	170bps	32.6%	130bps	85bps
Inspur	1.2%	102bps	1.4%	128bps	-26bps	1.3%	12bps	1.7%	30bps	-44bps
Shennan Circuits	16.3%	90bps	15.4%	9bps	81bps	17.2%	94bps	18.0%	255bps	-79bps
Shengyi Tech	16.4%	31bps	17.0%	91bps	-60bps	17.2%	85bps	18.1%	112bps	-88bps

EPS	1Q					2Q				
	MSe	q/q	Cons	q/q	Diff.	MSe	q/q	Cons	q/q	Diff.
Unimicron	1.78	-23%	1.98	-14%	-10%	1.98	11%	2.39	21%	-17%
NYPCB	1.78	-4%	1.80	-3%	-1%	1.80	1%	2.47	37%	-27%
Zhen Ding	1.86	-42%	1.05	-67%	77%	1.42	-23%	1.39	32%	2%
Lotes	23.68	5%	21.07	-6%	12%	23.00	-3%	22.43	6%	3%
Inspur	0.41	-35%	0.37	-41%	12%	0.49	18%	0.58	57%	-16%
Shennan Circuits	1.39	-2%	1.44	1%	-3%	1.63	17%	1.79	24%	-9%
Shengyi Tech	0.42	11%	0.45	21%	-8%	0.50	20%	0.55	22%	-10%

Source: Visible Alpha, Morgan Stanley Research estimates.

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Unimicron: Earnings Estimate Change

Our 2026-28 earnings estimates increase 13%, 12% and 15%, respectively, to reflect the higher price hike potential for ABF substrate and substrate demand upside from increased server CPU demand.

Exhibit 14: Earnings estimate changes

Year to Dec. 31 (NT$m)	2026E			2027E			2028E		
	New	Old	% diff	New	Old	% diff	New	Old	% diff
P&L Summary									
Net sales	**169,246**	**161,122**	**5%**	**221,316**	**209,386**	**6%**	**279,329**	**262,101**	**7%**
COGS	(137,245)	(131,261)		(168,945)	(161,430)		(197,521)	(189,064)	
Gross profit	**32,001**	**29,860**	**7%**	**52,372**	**47,956**	**9%**	**81,808**	**73,036**	**12%**
Operating expenses	(13,234)	(13,014)		(13,774)	(13,659)		(14,142)	(14,114)	
Operating income	**18,767**	**16,847**	**11%**	**38,597**	**34,296**	**13%**	**67,666**	**58,923**	**15%**
Non-operating income	2,280	1,980		2,180	2,180		2,180	2,180	
Pre-tax income	**21,046**	**18,827**	**12%**	**40,777**	**36,476**	**12%**	**69,846**	**61,103**	**14%**
Net income	**15,084**	**13,328**	**13%**	**30,665**	**27,257**	**12%**	**53,550**	**46,652**	**15%**
Diluted EPS (NT$)	**9.80**	**8.67**	**13%**	**19.92**	**17.73**	**12%**	**34.79**	**30.35**	**15%**
Margins			*ppt*			*ppt*			*ppt*
Gross margin	18.9%	18.5%	0.4	23.7%	22.9%	0.8	29.3%	27.9%	1.4
Operating margin	11.1%	10.5%	0.6	17.4%	16.4%	1.1	24.2%	22.5%	1.7
Pretax margin	12.4%	11.7%	0.8	18.4%	17.4%	1.0	25.0%	23.3%	1.7

Source: Morgan Stanley Research (E) estimates.

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Price Target Discussion and Valuation Methodology

Our 12-month price target increases ~43% to NT$785 (from NT$550), on the back of our increased earnings estimates for CY26-28e and our higher medium-term growth assumption: We believe the company's earnings will return to a growth track from 2026 onwards and see stronger earnings growth in 2027, driven by the high-end ABF substrate market's reversion to undersupply and Unimicron's dominant supply share in AI ASICs and also server CPUs, which puts it in a favorable position to benefit from rising AI investments. We believe the overall ABF substrate market bottomed in 2H24, and growth will accelerate from 2H26 onwards with the ramp of multiple next-generation, large body size ABF substrates for new server GPUs, CPUs, ASICs, and networking chips. New technologies, such as embedded passives and Intel's EMIB-T, will also increase the manufacturing complexity of the package substrates, which adds to the under-capacity as usable output decreases.

Similar to our analysis of other tech hardware companies within our coverage, we use a residual income (RI) valuation model to value Unimicron – we think it derives the most accurate value of the firm as it takes into account cost of equity. Key assumptions:

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Cost of equity of 9.2%;

Risk-free rate of 1% (10-year Taiwan government note yield);

Equity risk premium of 8.7%;

Beta of 1.0;

Medium-term growth rate of 13% (from 10% previously) – we think this is fair given our analysis of the substrate market over the next couple of years;

Terminal growth rate of 3% (similar to the rest of the companies under our tech hardware

coverage).

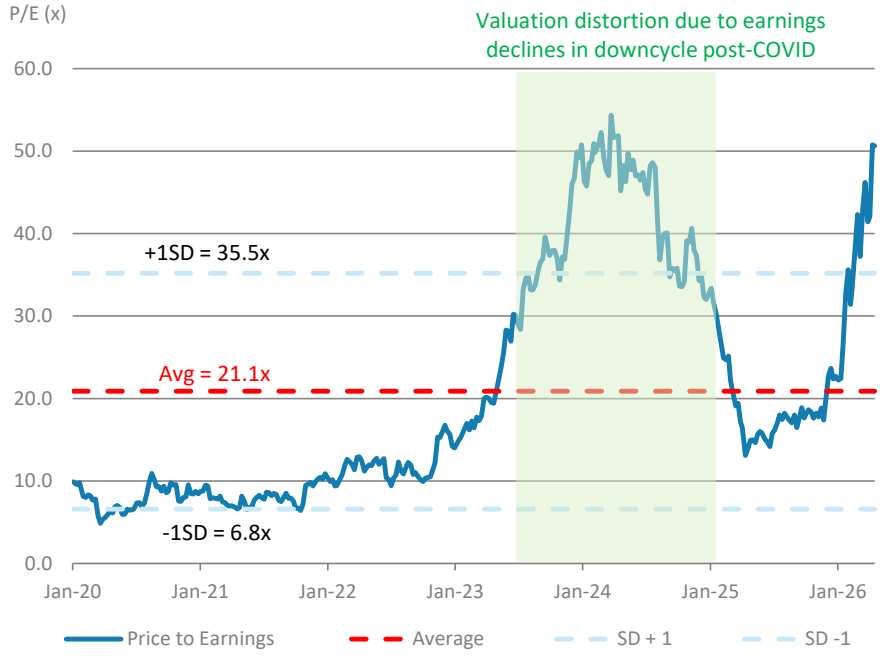
Our bull and bear case values increase by similar magnitudes, to NT$1,335 and NT $262, respectively.

Exhibit 15: Residual income (RI) model

		2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E
Total Equity		142,260	181,586	202,845	226,868	254,014	284,689	319,351	358,520	402,781	452,796	495,076
Net Profit		30,665	53,550	60,511	68,378	77,267	87,311	98,662	111,488	125,981	142,359	146,630
Return on Equity		23.5%	33.1%	31.5%	31.8%	32.1%	32.4%	32.7%	32.9%	33.1%	33.3%	30.9%
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%
Residual Income		17,000	33,991	40,500	45,939	52,084	59,028	66,873	75,737	85,754	97,072	98,534
Spread		14.3%	23.9%	22.3%	22.6%	23.0%	23.2%	23.5%	23.7%	23.9%	24.1%	21.8%
Beginning Equity Capital		142,260										
PV of Forecast Period		383,047										
PV of Continuing Value		682,777										
Equity Value		1,208,084										
No. of Shares		1,539										
Projected Price		785.0										

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 16: Unimicron: P/E trend



Source: Company data, Morgan Stanley Research estimates.

Financials

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Exhibit 17: Quarterly Earnings Estimates

NT$ mn	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
Sales	**30,090**	**32,466**	**33,994**	**34,691**	**37,446**	**40,171**	**44,075**	**47,554**	**131,241**	**169,246**	**221,316**	**279,329**
Cost of goods sold	-26,063	-28,221	-29,446	-29,219	-31,095	-32,826	-35,452	-37,872	-112,949	-137,245	-168,945	-197,521
Gross profit	**4,026**	**4,246**	**4,549**	**5,472**	**6,351**	**7,345**	**8,623**	**9,681**	**18,292**	**32,001**	**52,372**	**81,808**
Operating expenses	-2,759	-2,736	-3,016	-3,106	-3,223	-3,279	-3,350	-3,382	-11,618	-13,234	-13,774	-14,142
Operating profit	**1,267**	**1,509**	**1,533**	**2,366**	**3,128**	**4,067**	**5,273**	**6,299**	**6,674**	**18,767**	**38,597**	**67,666**
Interest income (loss)	103	62	-7	25	25	25	25	25	183	100	100	100
Investment income (loss)	32	-13	-1	-10	20	20	20	20	8	80	80	80
Gains (Losses) from investment disposal	0	0	0	3	0	0	0	0	3	0	0	0
Gains from FAs disposal	3	337	-29	507	0	0	0	0	817	0	0	0
Exchange gain	452	-1,281	487	349	300	0	0	0	7	300	0	0
Others	-483	-257	964	910	450	450	450	450	1,134	1,800	2,000	2,000
Pre-tax profit	1,373	357	2,947	4,150	3,923	4,562	5,768	6,794	8,827	21,046	40,777	69,846
Net Income for Minority	9	231	256	381	381	381	381	381	877	1,525	1,525	1,525
Income tax	-450	-97	-496	-235	-804	-1,140	-1,269	-1,223	-1,277	-4,436	-8,587	-14,771
Net profit	**915**	**30**	**2,194**	**3,535**	**2,737**	**3,040**	**4,117**	**5,190**	**6,673**	**15,084**	**30,665**	**53,550**
EPS (NT$)	**0.59**	**0.02**	**1.43**	**2.30**	**1.78**	**1.98**	**2.68**	**3.37**	**4.34**	**9.80**	**19.92**	**34.79**
Margins (%)												
Gross margin	13.4%	13.1%	13.4%	15.8%	17.0%	18.3%	19.6%	20.4%	13.9%	18.9%	23.7%	29.3%
Operating margin	4.2%	4.6%	4.5%	6.8%	8.4%	10.1%	12.0%	13.2%	5.1%	11.1%	17.4%	24.2%
Pre-tax margin	4.6%	1.1%	8.7%	12.0%	10.5%	11.4%	13.1%	14.3%	6.7%	12.4%	18.4%	25.0%
Net margin	3.0%	0.1%	6.5%	10.2%	7.3%	7.6%	9.3%	10.9%	5.1%	8.9%	13.9%	19.2%
QoQ Growth												
Sales	2%	8%	5%	2%	8%	7%	10%	8%				
Gross profit	18%	5%	7%	20%	16%	16%	17%	12%				
Operating profit	86%	19%	2%	54%	32%	30%	30%	19%				
Pre-tax profit	331%	-74%	726%	41%	-5%	16%	26%	18%				
Net profit	1531%	-97%	7310%	61%	-23%	11%	35%	26%				
YoY Growth												
Sales	14%	16%	7%	18%	24%	24%	30%	37%	14%	29%	31%	26%
Gross profit	-6%	15%	-8%	61%	58%	73%	90%	77%	12%	75%	64%	56%
Operating profit	-20%	68%	-22%	248%	147%	169%	244%	166%	30%	181%	106%	75%
Pre-tax profit	-59%	-83%	95%	1201%	186%	1179%	96%	64%	21%	138%	94%	71%
Net profit	-62%	-98%	120%	6204%	199%	10168%	88%	47%	31%	126%	103%	75%

Source: Company data, Morgan Stanley Research (E) estimates.

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Exhibit 18: Consolidated Financial Summary

Income Statement

NT$ mn; FY End Dec	2025	2026E	2027E	2028E
Net sales	**131,241**	**169,246**	**221,316**	**279,329**
Cost of goods sold	-112,949	-137,245	-168,945	-197,521
Gross profit	**18,292**	**32,001**	**52,372**	**81,808**
Operating expenses	-11,618	-13,234	-13,774	-14,142
Sales & Marketing	-1,607	-1,827	-2,234	-2,601
G&A	-5,012	-5,642	-5,568	-5,509
R&D	-4,999	-5,765	-5,972	-6,032
Operating profit	**6,674**	**18,767**	**38,597**	**67,666**
Interest income	183	100	100	100
Investment income	8	80	80	80
Gains from investment disposal	3	0	0	0
Gains from fixed assets disposal	817	0	0	0
Exchange gain	7	300	0	0
Other non-operating income	1,134	1,800	2,000	2,000
Net non-operating profit	**2,153**	**2,280**	**2,180**	**2,180**
Pre-tax profit	8,827	21,046	40,777	69,846
Net Income for Minority	-877	-1,525	-1,525	-1,525
Income tax	-1,277	-4,436	-8,587	-14,771
Net profit	**6,673**	**15,084**	**30,665**	**53,550**
Reported EPS (NT$)	**4.34**	**9.80**	**19.92**	**34.79**

Cash Flow Statement

NT$ mn; FY End Dec	2025	2026E	2027E	2028E
Cashflow from Operations	**14,967**	**35,524**	**50,895**	**69,877**
Net Profits	6,673	15,084	30,665	53,550
Depreciation	18,773	19,887	20,102	18,969
Investment losses (income)	0	-80	-80	-80
Investment Disposal Loss	-3	0	0	0
Change in Working Capital	-2,943	2,085	2,198	-344
Other adjustments	-7,533	-1,452	-1,990	-2,217
Cashflow from Investing	**-23,018**	**-23,711**	**-12,791**	**-12,212**
(Purchases) Sale of fixed asset	-24,307	-23,711	-12,791	-12,212
(Purchases) Sale of LT investment	-77	0	0	0
Other adjustments	1,367	0	0	0
Cashflow from financing	**19,073**	**7,057**	**7,299**	**1,854**
Increase in L-T debt	9,950	-1,001	-1,001	-1,001
Increase in S-T debt	4,331	0	0	0
Issuance of stock	0	0	0	0
Other adjustments	7,087	11,136	15,258	16,999
Exchange Rate Adjustment	96	-300	0	0
Net change in cash	11,118	18,570	45,403	59,519

Financial Ratios

	2025	2026E	2027E	2028E
Margins				
Gross margin	13.9%	18.9%	23.7%	29.3%
Operating expenses/sales	-8.9%	-7.8%	-6.2%	-5.1%
Operating margin	5.1%	11.1%	17.4%	24.2%
Tax rate	14.5%	21.1%	21.1%	21.1%
Pre-tax margin	6.7%	12.4%	18.4%	25.0%
Net Margin	5.1%	8.9%	13.9%	19.2%
YoY Growth				
Turnover	13.8%	29.0%	30.8%	26.2%
Gross Profit	12.1%	74.9%	63.7%	56.2%
Operating Profits	30.4%	181.2%	105.7%	75.3%
Pretax Profits	20.6%	138.4%	93.8%	71.3%
Net Profits	31.3%	126.0%	103.3%	74.6%
Adjusted Cash Dividend (NT$)	2.00	4.52	9.19	16.05
Net Debt/Equity	-8.6%	-24.2%	-52.8%	-74.7%
Liabilities/Equity	139.0%	145.7%	144.2%	130.8%
Liabilities/Assets	58.2%	59.3%	59.1%	56.7%
ROAE	6.5%	13.4%	23.5%	33.1%
ROAA	2.7%	5.5%	9.6%	14.0%
A/R Turnover (days)	71.2	68.1	67.7	68.7
A/P Turnover (days)	52.7	51.5	51.2	52.4
Inventory Turnover (days)	52.8	52.4	52.1	53.4
Cash conversion (days)	71.3	69.0	68.6	69.6

Balance Sheet

NT$ mn; FY End Dec	2025	2026E	2027E	2028E
Cash	54,872	73,442	118,845	178,363
Mkt Securities	38	38	38	38
AR/NR	27,570	35,554	46,492	58,679
Inventory	17,802	21,631	26,627	31,131
Others	5,016	6,468	8,458	10,675
Current Assets	**105,298**	**137,134**	**200,461**	**278,887**
Long-term Investments	836	836	836	836
Fixed Assets	125,866	129,690	122,379	115,623
Other Assets	23,792	23,792	23,792	23,792
Total Assets	**255,792**	**291,452**	**347,468**	**419,139**
S-t Borrowings	10,845	10,845	10,845	10,845
AP/NP	17,494	21,258	26,168	30,594
Other S-T Liabilities	47,115	57,251	70,474	82,394
Other LT Liabilities	38,457	49,593	64,851	81,850
L-t Debt	34,873	33,872	32,871	31,870
Total Liabilities	**148,785**	**172,818**	**205,208**	**237,553**
Common Shares	15,296	15,296	15,296	15,296
Other Shareholders' Equity	91,711	103,337	126,964	166,290
Total Equity	**107,007**	**118,633**	**142,260**	**181,586**
Total Liab./Shrhldr's Equity	**255,792**	**291,452**	**347,468**	**419,139**

Source: Company data, Morgan Stanley Research (E) estimates.

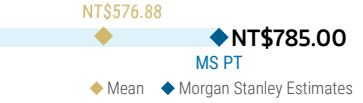
Risk Reward – Unimicron (3037.TW)

Price hikes and spec upgrades to support higher earnings estimates; OW

PRICE TARGET NT$785.00

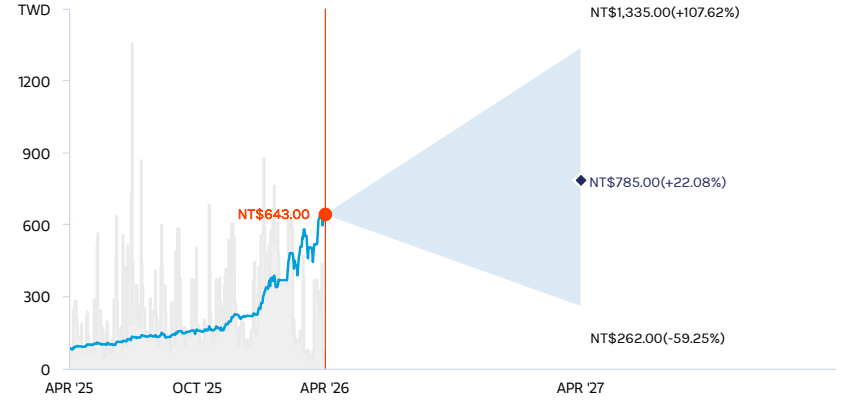
Base case, residual income (RI) valuation model, which we think derives the most accurate value of the firm given that it takes into account cost of equity. We use a cost of equity of 9.2% [risk-free rate of 1% (10-year Taiwan government note yield), equity risk premium of 8.7%, and a beta of 1.0], a medium-term growth rate of 13%, and a terminal growth rate of 3%.

Consensus Price Target Distribution NT$400.00



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



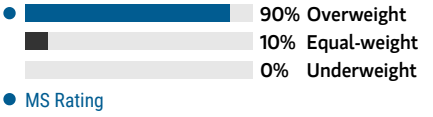
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We expect the ABF substrate market to revert to undersupply from 2027 onwards, with the undersupply gap reaching 5-10% by 2030.
- This is primarily driven by AI demand, with next-gen AI/networking chips adopting larger body size ABF substrates.
- In the near to medium term, the short supply of T-glass will be a key watch point, but we believe this will mainly affect low-end ABF and BT substrates, as suppliers prioritize supply to the AI chip vendors.
- Our price target implies 39x 2027e P/E, above the 10-20x range at which it traded in the previous upcycle. We deem this fair, given AI chip substrate spec upgrades and suppliers' ability to raise prices.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$1,335.00

67x 2027e P/E

Demand for AI servers, general servers and PCs is much stronger than expected: Pricing increases more than expected, 30%+ in 2026-27, driving stronger margin expansion for Unimicron.

BASE CASE NT$785.00

39x 2027e P/E

Entering up-cycle driven by AI chip upgrades: Robust demand for AI GPUs and ASICs, supported by continued data center infrastructure investments by CSPs and neo cloud, leads to undersupply in the high-end ABF market from 2027e onwards. PC demand is sluggish, while general servers still show double-digit unit growth in 2026e. ASP has bottomed and started to inflect upwards, driven by raw material price hikes and substrate spec upgrades.

BEAR CASE NT$262.00

13x 2027e P/E

Demand for AI servers and general servers weakens, with PC demand weakening further: The result is greater ABF oversupply; thus, there are pricing declines of ~15-20% in 2026-27, leading to weaker margins for Unimicron over the next two years.

Risk Reward – Unimicron (3037.TW)

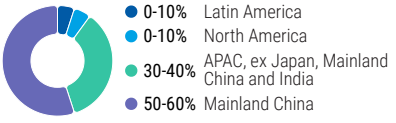
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
IC substrate ASP YoY (%)	7.5	21.0	23.0	22.6
IC substrate GM (%)	15.2	21.1	26.9	33.6

INVESTMENT DRIVERS

- 5G smartphone demand
- 5G base station demand
- Automotive demand

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

4/5 **MOST** 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected ABF substrate demand from PC and server customers
- Capex cuts; halt to its capacity expansion plan
- Continued yield issues of alternative technology that doesn't require substrate (e.g., CoWoP)

RISKS TO DOWNSIDE

- Sudden demand shortfall
- Technological change that would not require ABF substrates
- Intensifying competition
- Yield issues or production hiccups when ramping new capacity

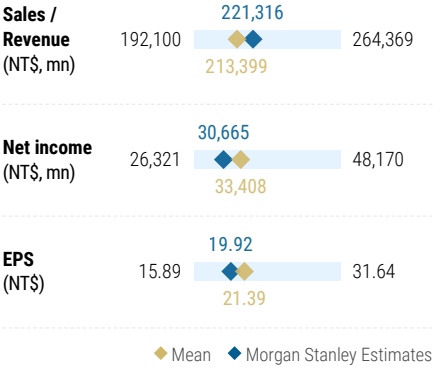
OWNERSHIP POSITIONING

Inst. Owners, % Active 72.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

NYPCB: Earnings Estimate Changes

Our 2026-28 earnings estimates increase 13%, 17% and 19%, respectively, to reflect the higher price hike potential for ABF substrate and the substrate demand upside from server/networking chips.

Exhibit 19: Earnings Estimate Changes

	2026E			2027E			2028E		
NT$ mn	New	Old	Variance	New	Old	Variance	New	Old	Variance
Net sales	**50,539**	**50,961**	**-1%**	**61,714**	**57,658**	**7%**	**78,592**	**70,659**	**11%**
COGS	-43,127	-44,101	-2%	-49,010	-46,537	5%	-55,476	-50,928	9%
Gross profit	**7,412**	**6,860**	**8%**	**12,704**	**11,121**	**14%**	**23,117**	**19,731**	**17%**
Operating expenses	-1,825	-1,820	0%	-1,968	-1,918	3%	-2,154	-2,066	4%
Operating income	**5,587**	**5,040**	**11%**	**10,737**	**9,203**	**17%**	**20,963**	**17,664**	**19%**
Non-operating income	853	687	24%	753	687	10%	753	687	10%
Pre-tax income	**6,440**	**5,727**	**12%**	**11,489**	**9,890**	**16%**	**21,715**	**18,351**	**18%**
Income tax	-1,026	-915	12%	-1,830	-1,575	16%	-3,464	-2,927	18%
Net income	**5,414**	**4,813**	**12%**	**9,659**	**8,315**	**16%**	**18,252**	**15,424**	**18%**
EPS (NT$)	**8.38**	**7.42**	**13%**	**14.95**	**12.82**	**17%**	**28.25**	**23.78**	**19%**
Margins (%)			***ppt***			***ppt***			***ppt***
Gross margin	14.7%	13.5%	1.2	20.6%	19.3%	1.3	29.4%	27.9%	1.5
Operating margin	11.1%	9.9%	1.2	17.4%	16.0%	1.4	26.7%	25.0%	1.7
Pre-tax margin	12.7%	11.2%	1.5	18.6%	17.2%	1.5	27.6%	26.0%	1.7
Net margin	10.7%	9.4%	1.3	15.7%	14.4%	1.2	23.2%	21.8%	1.4

Source: Morgan Stanley Research (E) estimates.

订阅研报添加微信 LCD123321Cad 04-20

Price target discussion and valuation methodology

Our price target increases ~65% to NT$850, on the back of our raised earnings estimates for CY26-28e as well as our increased medium-term growth assumption: We believe the company's earnings will return to a growth track from 2026 onwards and see stronger growth in 2027, driven by the high-end ABF substrate market's reversion to undersupply, NYPCB's dominant supply share for networking chips, and its proactive pricing strategy, which puts it in a favorable position to benefit from rising AI investments. We believe the overall ABF substrate market bottomed in 2H24, and growth will accelerate from 2H26 onwards with the ramp of multiple next-generation, large body size ABF substrates for new server GPUs, CPUs, ASICs and networking chips. New technologies, such as embedded passives and Intel's EMIB-T, will also increase the manufacturing complexity of the package substrates, which adds to the under-capacity as usable output decreases.

Similar to our analysis of other tech hardware companies within our coverage, we use a residual income (RI) valuation model to value NYPCB – we think it derives the most accurate value of the firm given that it takes into account cost of equity. Key assumptions:

Cost of equity of 9.3%;

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Risk-free rate of 1% (10-year Taiwan government note yield);

Equity risk premium of 8.7%;

Beta of 1.0;

Medium-term growth rate of 17% (from 12% previously) (fair given our analysis of the substrate market over the next couple of years);

Terminal growth rate of 3% (similar to the rest of the companies under our tech hardware coverage).

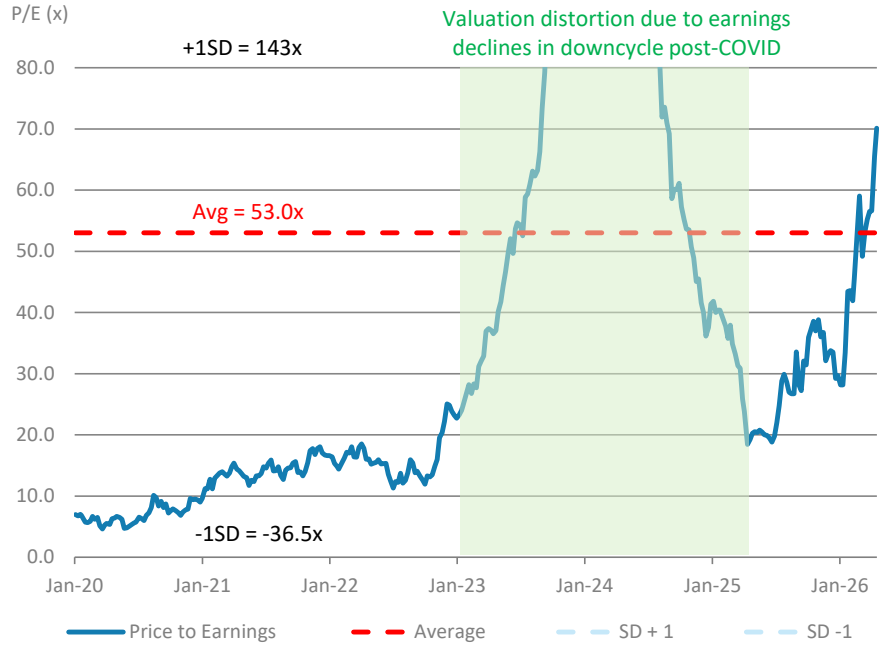
Our bull and bear case values increase by similar magnitudes, to NT$1,518 and NT $432, respectively.

Exhibit 20: Residual Income (RI) Model

		2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E
Total Equity		**56,173**	**67,994**	**74,054**	**81,144**	**89,439**	**99,144**	**110,499**	**123,784**	**139,328**	**157,514**	**169,819**
Net Profit		**9,659**	**18,252**	**21,354**	**24,985**	**29,232**	**34,202**	**40,016**	**46,819**	**54,778**	**64,090**	**66,013**
Return on Equity		**18.2%**	**29.4%**	**30.1%**	**32.2%**	**34.3%**	**36.3%**	**38.2%**	**40.0%**	**41.6%**	**43.2%**	**40.3%**
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%
Residual Income		**4,466**	**11,310**	**14,145**	**16,983**	**20,294**	**24,156**	**28,664**	**33,927**	**40,074**	**47,256**	**48,939**
Spread		**8.9%**	**20.1%**	**20.8%**	**22.9%**	**25.0%**	**27.0%**	**28.9%**	**30.7%**	**32.4%**	**33.9%**	**31.1%**
Beginning Equity Capital		*56,173*										
PV of Forecast Period		161,254										
PV of Continuing Value		331,795										
Equity Value		**549,222**										
No. of Shares		646										
Projected Price		**850.0**										

Source: Morgan Stanley Research (E) estimates.

Exhibit 21: NYPCB: P/E chart



Source: TEJ, Morgan Stanley Research estimates.

Financials

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Exhibit 22: Quarterly Estimates

	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
Net sales	**8,458**	**9,583**	**10,967**	**11,165**	**11,177**	**12,302**	**13,296**	**13,763**	**40,173**	**50,539**	**61,714**	**78,592**
COGS	(8,028)	(8,814)	(9,918)	(9,766)	(9,672)	(10,605)	(11,287)	(11,562)	(36,526)	(43,127)	(49,010)	(55,476)
Gross profit	**430**	**769**	**1,050**	**1,398**	**1,505**	**1,697**	**2,009**	**2,201**	**3,647**	**7,412**	**12,704**	**23,117**
Operating expenses	(397)	(403)	(429)	(435)	(439)	(452)	(465)	(468)	(1,665)	(1,825)	(1,968)	(2,154)
SG&A	(397)	(403)	(429)	(435)	(439)	(452)	(465)	(468)	(1,665)	(1,825)	(1,968)	(2,154)
R&D	0	0	0	0	0	0	0	0	0	0	0	0
Operating income	**33**	**366**	**620**	**963**	**1,066**	**1,245**	**1,544**	**1,733**	**1,982**	**5,587**	**10,737**	**20,963**
Non-operating income	**223**	**(593)**	**287**	**446**	**288**	**176**	**193**	**196**	**363**	**853**	**753**	**753**
Interest income	45	47	19	34	34	34	34	34	144	134	134	134
Investment income	5	(8)	9	12	5	(8)	9	12	18	18	18	18
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0	0
Exchange gain	124	(699)	167	249	100	0	0	0	(158)	100	0	0
Other	49	67	91	151	150	150	150	150	358	600	600	600
Pre-tax income	**256**	**(227)**	**907**	**1,409**	**1,355**	**1,420**	**1,736**	**1,928**	**2,346**	**6,440**	**11,489**	**21,715**
Income tax	(49)	39	(182)	(207)	(203)	(256)	(278)	(289)	(399)	(1,026)	(1,830)	(3,464)
Minority interest	0	0	0	0	0	0	0	0	0	0	0	0
Net income	**207**	**(187)**	**725**	**1,202**	**1,151**	**1,165**	**1,459**	**1,639**	**1,947**	**5,414**	**9,659**	**18,252**
Adj.wtd.avg.shrs (mn)	646	646	646	646	646	646	646	646	646	646	646	646
EPS	**0.32**	**(0.29)**	**1.12**	**1.86**	**1.78**	**1.80**	**2.26**	**2.54**	**3.01**	**8.38**	**14.95**	**28.25**
Fully Diluted shares (mn)	646	646	646	646	646	646	646	646	646	646	646	646
Diluted EPS (NT$)	**0.32**	**(0.29)**	**1.12**	**1.86**	**1.78**	**1.80**	**2.26**	**2.54**	**3.01**	**8.38**	**14.95**	**28.25**
Margins (%)												
Gross Margin	5.1	8.0	9.6	12.5	13.5	13.8	15.1	16.0	9.1	14.7	20.6	29.4
Operating Margin	0.4	3.8	5.7	8.6	9.5	10.1	11.6	12.6	4.9	11.1	17.4	26.7
Pretax Margin	3.0	(2.4)	8.3	12.6	12.1	11.5	13.1	14.0	5.8	12.7	18.6	27.6
Net Margin	2.5	(2.0)	6.6	10.8	10.3	9.5	11.0	11.9	4.8	10.7	15.7	23.2
QoQ Growth (%)												
Sales	7	13	14	2	0	10	8	4				
Gross Profit	2,441	79	37	33	8	13	18	10				
Operating Profit	NM	10	69	55	11	17	24	12				
Pretax Profit	63	-188	NM	55	-4	5	22	11				
Net Profit	16	-190	NM	66	-4	1	25	12				
YoY Growth (%)												
Sales	19	18	19	42	32	28	21	23	24	26	22	27
Gross Profit	NM	319	95	8,157	250	121	91	57	920	103	71	82
Operating Profit	NM	NM	396	NM	3,122	240	149	80	NM	182	92	95
Pretax Profit	NM	-226	1,247	794	429	NM	91	37	1,338	175	78	89
Net Profit	NM	-258	1,131	573	455	NM	101	36	856	178	78	89

Source: Company data, Morgan Stanley Research (E) estimates.

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Exhibit 23: Consolidated Financial Summary

Consolidated Income Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Net sales	**40,173**	**50,539**	**61,714**	**78,592**
COGS	(36,526)	(43,127)	(49,010)	(55,476)
Gross profit	**3,647**	**7,412**	**12,704**	**23,117**
Operating expenses	(1,665)	(1,825)	(1,968)	(2,154)
Operating income	**1,982**	**5,587**	**10,737**	**20,963**
Non-operating income	**363**	**853**	**753**	**753**
Interest income	144	134	134	134
Investment income	18	18	18	18
Disposal of investment	-	-	-	-
Exchange gain	(158)	100	-	-
Other	358	600	600	600
Pre-tax income	**2,346**	**6,440**	**11,489**	**21,715**
Income tax	(399)	(1,026)	(1,830)	(3,464)
Minority interests	-	-	-	-
Net income	**1,947**	**5,414**	**9,659**	**18,252**
Adj. wtd. Avg. shrs (m)	646	646	646	646
Reported EPS (NT$)	**3.01**	**8.38**	**14.95**	**28.25**
Diluted shrs (m)	646	646	646	646
Diluted EPS (NT$)	**3.01**	**8.38**	**14.95**	**28.25**

Consolidated Cash Flow Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Operating Cashflow	**3,027**	**9,251**	**12,728**	**19,514**
Net Profits	1,947	5,414	9,659	18,252
Depreciation & Amort.	6,894	6,013	5,485	5,043
Investment losses/(income)	(18)	(18)	(18)	(18)
Working capital change	12,615	(2,081)	(2,316)	(3,638)
Other adjustments	(18,410)	(76)	(82)	(124)
Investing Cashflow	**(1,723)**	**(2,906)**	**(2,885)**	**(2,854)**
Capex	(2,422)	(3,000)	(3,000)	(3,000)
Change of L/T investment	0	0	0	0
Change of S/T investment	0	0	0	0
Other adjustments	625	0	0	0
Financing Cashflow	**(887)**	**745**	**(1,397)**	**(3,095)**
Increase in L/T debt	0	0	0	0
Increase in S/T debt	0	0	0	0
Issuance of stock	0	(0)	0	0
Cash dividends	(646)	(1,292)	(3,594)	(6,412)
Other adjustments	(241)	2,037	2,197	3,317
FX adjustment	(309)	(100)	0	0
Net change in cash	**109**	**6,990**	**8,445**	**13,565**

Consolidated Balance Sheet

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Cash	**8,590**	**15,579**	**24,025**	**37,590**
Mkt securities	117	117	117	117
AR/NR	9,552	12,017	14,674	18,688
Inventory	5,068	5,983	6,800	7,697
Others	296	373	455	580
Current Assets	**23,623**	**34,069**	**46,071**	**64,671**
Long-term investments	500	500	500	500
Fixed assets	35,373	32,266	29,666	27,477
Other assets	1,711	1,711	1,711	1,711
Total Assets	**61,207**	**68,547**	**77,949**	**94,360**
S/T borrowings	-	-	-	-
AP/NP	1,711	2,020	2,296	2,598
Other ST liabilities	5,478	6,468	7,350	8,320
Total Current Liabilities	**7,189**	**8,488**	**9,646**	**10,918**
L/T debt	-	-	-	-
Other LT libilities	7,896	9,933	12,130	15,447
Total Liabilities	**15,085**	**18,421**	**21,775**	**26,365**
Common shares	6,462	6,462	6,462	6,462
Retained Earnings	13,031	17,034	23,081	34,902
Other SH' Equity	26,630	26,630	26,630	26,630
Total Shareholders' Equity	**46,123**	**50,126**	**56,173**	**67,994**
Total Liab./SH's Equity	**61,207**	**68,547**	**77,949**	**94,360**

Consolidated Financial Ratios

	2025	2026E	2027E	2028E
Margins (%)				
Gross margin	9.1	14.7	20.6	29.4
Operating margin	4.9	11.1	17.4	26.7
Pretax margin	5.8	12.7	18.6	27.6
Net margin	4.8	10.7	15.7	23.2
YoY growth (%)				
Sales	24.4	25.8	22.1	27.3
Operating profits	NM	181.8	92.2	95.2
Pretax profits	1,338.4	174.6	78.4	89.0
Net profits	855.6	178.1	78.4	89.0
Others				
Cash dividend payout (%)	66%	66%	66%	66%
Cash div (NT$)	2.00	5.56	9.92	18.75
Yield (%)	0%	1%	1%	3%
Net Debt/Equity (%)	-19%	-31%	-43%	-55%
Liabilities/Equity (%)	33%	37%	39%	39%
Liabilities/Assets (%)	25%	27%	28%	28%
ROAE (%)	4%	11%	18%	29%
ROAA (%)	3%	8%	13%	21%
AR/NR Turnover (days)	75	78	79	77
Inventory Turnover (days)	46	47	48	48
AP/NP Turnover (days)	16	16	16	16
Cash conversion cycle	105	109	110	109

Source: Company data, Morgan Stanley Research (E) estimates.

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Risk Reward – Nan Ya PCB (8046.TW)

Price hikes and spec upgrades to support higher earnings estimates; OW

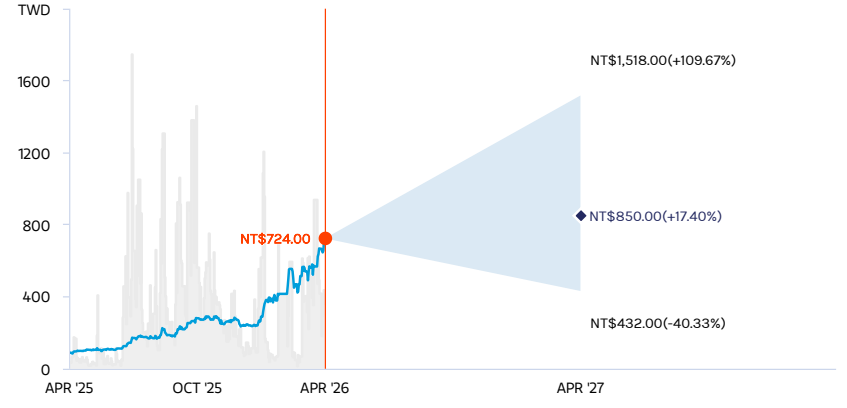
PRICE TARGET NT$850.00

Base case, residual income (RI) valuation model, which we think derives the most accurate value of the firm given that it takes into account cost of equity. We use a cost of equity of 9.3% [risk-free rate of 1% (10-year Taiwan government note yield), equity risk premium of 8.7%, and a beta of 1.0], a medium-term growth rate of 17%, and a terminal growth rate of 3%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



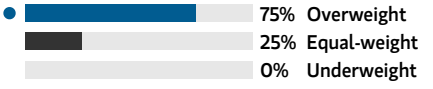
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Price hikes for BT and ABF substrates, driven by raw material cost increases, will likely drive margin improvement for NYPCB.
- We believe the ABF substrate market will become undersupplied again from 2027 onwards, driven by AI demand, with next-gen AI/networking chips adopting large -body size ABF substrates.
- NYPCB should benefit from ABF substrate structural tailwinds as well - rising data traffic, big data analysis, AI/ML, and 5G.
- Our price target implies 57x 2027e P/E or 29x 2028e P/E, above the 10-30x range in which it traded in the previous upcycle. We deem this fair given ABF substrate spec upgrades and suppliers' ability to raise prices.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$1,518.00

100x 2027e P/E

BT price increases further in 1H26, and ABF becomes undersupplied faster than expected (current expectation is from 2027e onwards), driving even stronger margin expansion for Nan Ya PCB.

BASE CASE NT$850.00

57x 2027e P/E

Entering up-cycle driven by AI chip upgrades: Robust demand for AI GPUs/ASICs and networking chips, supported by continued data center infrastructure investments by CSPs and neo cloud, leads to undersupply in the high-end ABF market from 2027e onwards. PC demand is sluggish, while general servers still show double-digit unit growth in 2026e. ASP has bottomed and started to inflect upwards, driven by raw material price hikes and substrate spec upgrades.

BEAR CASE NT$432.00

29x 2027e P/E

ABF demand weakens further, resulting in greater oversupply in the next few years. Thus, ABF pricing decreases 20% or more in 2026-27e, leading to weaker margins for Nan Ya PCB.

Risk Reward – Nan Ya PCB (8046.TW)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
ABF ASP y/y (%)	9.6	12.2	13.4	19.7
ABF GM (%)	15.1	20.1	27.3	37.3

INVESTMENT DRIVERS

- 5G smartphone demand
- 5G base station demand
- Automotive demand

GLOBAL REVENUE EXPOSURE

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

4/5 **MOST** 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected ABF and BT demand
- Faster-than-expected pickup in AI and 5G demand
- Stronger-than-expected ASP hike
- Continued yield issues of alternative technology that doesn't require substrate (e.g. CoWoP)

RISKS TO DOWNSIDE

- A sudden demand shortfall, creating headwinds for ABF substrate demand and pricing
- Technological change that would not require ABF substrates
- Intensifying competition

OWNERSHIP POSITIONING

Inst. Owners, % Active 51.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (NT$, mn)	54,547	61,714 / 65,711	81,295
Net income (NT$, mn)	6,250	9,659 / 11,026	17,044
EPS (NT$)	9.67	14.95 / 17.06	26.38

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Zhen Ding: Earnings Estimate Changes

We fine-tune our model, which lowers our CY26e EPS estimate by 1% but raises our CY27e EPS estimate by 3%. The differences between net profit changes and EPS changes are owing to share count changes.

We also introduce our CY28e earnings estimates.

Exhibit 24: Earnings Estimate Changes

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	2026E			2027E			2028E
NT$*mn*	**New**	**Old**	**Variance**	**New**	**Old**	**Variance**	**New**
Net sales	**206,610**	**209,959**	**-2%**	**236,615**	**234,744**	**1%**	**272,169**
COGS	-164,180	-166,565	-1%	-184,585	-183,767	0%	-208,309
Gross profit	**42,430**	**43,394**	**-2%**	**52,031**	**50,978**	**2%**	**63,860**
Operating expenses	-24,604	-24,972	-1%	-27,279	-27,280	0%	-30,387
Operating income	**17,826**	**18,422**	**-3%**	**24,752**	**23,697**	**4%**	**33,472**
Non-operating income	2,029	1,460	39%	1,529	1,460	5%	1,529
Pre-tax income	**19,855**	**19,881**	**0%**	**26,281**	**25,157**	**4%**	**35,002**
Net income	**11,511**	**11,532**	**0%**	**15,220**	**14,589**	**4%**	**20,275**
EPS (NT$)	**11.71**	**11.85**	**-1%**	**15.48**	**14.99**	**3%**	**20.63**
Margins (%)			***ppt***			***ppt***	
Gross margin	20.5%	20.7%	-0.1	22.0%	21.7%	0.3	23.5%
Operating margin	8.6%	8.8%	-0.1	10.5%	10.1%	0.4	12.3%
Pre-tax margin	9.6%	9.5%	0.1	11.1%	10.7%	0.4	12.9%
Net margin	5.6%	5.5%	0.1	6.4%	6.2%	0.2	7.4%

Source: Morgan Stanley Research (E) estimates.

Price Target Discussion and Valuation Methodology

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Our base-case value/price target increases to NT$250 (from NT$145), on the back of the introduction of our CY28e earnings estimates and the increase in our medium-term growth assumption for the RI model: It is derived from our multistage residual income (RI) model. We use the company's beginning equity plus the present value of all expected residual income of earnings in excess of the cost of capital.

We use the company's beginning equity plus the present value of all expected residual income of earnings in excess of the cost of capital. The RI is positive when ROAE is above the cost of capital and negative when it is below the cost of capital. We assume a cost of equity of 10%, a medium-term growth rate of 9% (raised from 5% previously) and a terminal growth rate of 3%.

The increase in our medium-term growth rate assumption for Zhen Ding is primarily driven by growing opportunities and project wins for its ABF substrates, AI server HDIs and optical module mSAP PCB. However, with the stock trading at 22x 2026e P/E or 17x 2027e P/E, we find the valuation insufficiently attractive vs. its past three-year P/E average +1SD of 15.6x.

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Our bull- and bear-case values also increase by similar magnitudes to NT$355 and NT $145, respectively.

Exhibit 25: Residual Income (RI) Model

NT$ mn		2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity		178,885	188,931	202,365	214,639	228,018	242,601	258,497	275,823	294,708	315,293	337,730
Core Net Profit		11,511	15,220	20,275	22,100	24,089	26,257	28,620	31,196	34,003	37,063	40,399
Return on Equity		6.7%	8.5%	10.7%	10.9%	11.2%	11.5%	11.8%	12.1%	12.3%	12.6%	12.8%
Beta (Last 60 Mths)	1.20											
Equity Risk Premium (Rm-Rf)	6%											
Risk Free Rate (Rf)	3%											
Cost of Equity	10%											
Terminal Growth Rate	3%											
Continuing Value Spread	-2%											
Medium-term growth rate	9.0%											
Residual Income		-5,048	-2,132	1,949	2,470	3,269	4,139	5,087	6,121	7,248	8,477	9,816
Spread		-3%	-1%	1%	1%	2%	2%	2%	2%	3%	3%	3%
Beginning Equity Capital		178,885										
PV of Forecast Period		19,578										
PV of Continuing Value		47,270										
Equity Value		245,733										
No. of Shares		983										
Projected Price (EoY)		**250.0**										

Source: Morgan Stanley Research (E) estimates.

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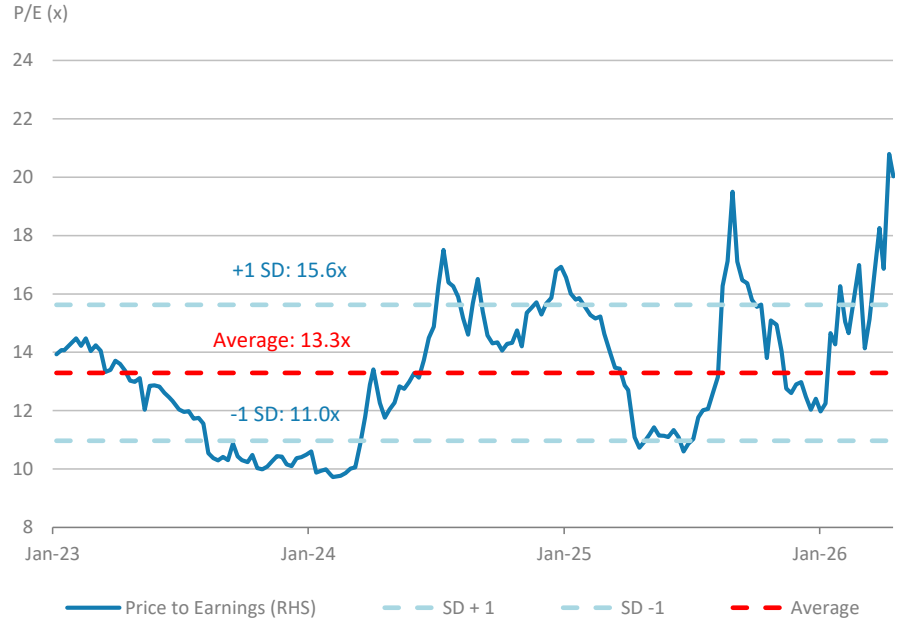
Exhibit 26: Zhen Ding's Three-year P/E Chart



Source: TEJ, Morgan Stanley Research (E) estimates.

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Exhibit 27: Quarterly Earnings Estimates

NT$ mn	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
Sales	**40,082**	**38,203**	**47,366**	**56,870**	**40,728**	**44,438**	**57,789**	**63,655**	**182,522**	**206,610**	**236,615**	**272,169**
COGS	-34,197	-31,193	-36,956	-44,040	-33,556	-36,732	-44,753	-49,140	-146,385	-164,180	-184,585	-208,309
Gross profit	**5,885**	**7,011**	**10,410**	**12,830**	**7,172**	**7,706**	**13,037**	**14,515**	**36,136**	**42,430**	**52,031**	**63,860**
Operating expenses	-4,829	-4,586	-5,880	-6,909	-5,062	-5,299	-6,854	-7,388	-22,205	-24,604	-27,279	-30,387
- Promotion	-486	-493	-630	-744	-493	-573	-768	-833	-2,352	-2,667	-3,055	-3,514
- ADM	-1,781	-1,483	-2,270	-2,512	-1,991	-1,811	-2,631	-2,671	-8,046	-9,104	-10,090	-11,217
- R&D	-2,563	-2,611	-2,981	-3,653	-2,578	-2,915	-3,455	-3,885	-11,807	-12,832	-14,134	-15,657
Operating profit	**1,056**	**2,425**	**4,530**	**5,921**	**2,110**	**2,407**	**6,182**	**7,127**	**13,932**	**17,826**	**24,752**	**33,472**
Non-operating income	401	-153	131	-248	795	345	445	445	131	2,029	1,529	1,529
Interest income	119	91	49	95	95	95	95	95	355	379	379	379
Investment income	-97	203	242	53	50	100	200	200	401	550	550	550
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0	0
Disposal of fixed assets	16	58	-258	-102	0	0	0	0	-286	0	0	0
Exchange gain	103	-103	0	0	500	0	0	0	0	500	0	0
Other	259	-401	98	-294	150	150	150	150	-338	600	600	600
Pre-tax profit	1,457	2,272	4,661	5,673	2,905	2,752	6,627	7,572	14,063	19,855	26,281	35,002
Income tax	-431	-885	-1,072	-1,070	-291	-605	-1,246	-909	-3,458	-3,050	-4,059	-5,399
Net profit	**632**	**605**	**2,392**	**3,161**	**1,825**	**1,398**	**3,580**	**4,708**	**6,791**	**11,511**	**15,220**	**20,275**
EPS (NT$)	**0.66**	**0.63**	**2.46**	**3.22**	**1.86**	**1.42**	**3.64**	**4.79**	**6.91**	**11.71**	**15.48**	**20.63**
Margins												
Gross margin	15%	18%	22%	23%	18%	17%	23%	23%	20%	21%	22%	23%
Operating margin	3%	6%	10%	10%	5%	5%	11%	11%	8%	9%	10%	12%
Pre-tax margin	4%	6%	10%	10%	7%	6%	11%	12%	8%	10%	11%	13%
Net margin	2%	2%	5%	6%	4%	3%	6%	7%	4%	6%	6%	7%
QoQ Growth												
Sales	-29%	-5%	24%	20%	-28%	9%	30%	10%				
Gross profit	-49%	19%	48%	23%	-44%	7%	69%	11%				
Operating profit	-81%	130%	87%	31%	-64%	14%	157%	15%				
Pre-tax profit	-81%	56%	105%	22%	-49%	-5%	141%	14%				
Net profit	-86%	-4%	295%	32%	-42%	-23%	156%	32%				
YoY Growth												
Sales	23%	18%	-6%	1%	2%	16%	22%	12%	6%	13%	15%	15%
Gross profit	10%	65%	-9%	12%	22%	10%	25%	13%	11%	17%	23%	23%
Operating profit	42%	-477%	-24%	7%	100%	-1%	36%	20%	20%	28%	39%	35%
Pre-tax profit	-3%	346%	-12%	-27%	99%	21%	42%	33%	-7%	41%	32%	33%
Net profit	-35%	25%	-29%	-28%	189%	131%	50%	49%	-26%	70%	32%	33%

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 28: Consolidated Financial Summary

Income Statement

NT$ mn	2025	2026E	2027E	2028E
Net sales	**182,522**	**206,610**	**236,615**	**272,169**
COGS	-146,385	-164,180	-184,585	-208,309
Gross profit	**36,136**	**42,430**	**52,031**	**63,860**
Operating expenses	-22,205	-24,604	-27,279	-30,387
- Promotion	-2,352	-2,667	-3,055	-3,514
- ADM	-8,046	-9,104	-10,090	-11,217
- R&D	-11,807	-12,832	-14,134	-15,657
Operating income	**13,932**	**17,826**	**24,752**	**33,472**
Non-operating income	131	2,029	1,529	1,529
Interest income	355	379	379	379
Investment income	401	550	550	550
Disposal of investment	0	0	0	0
Disposal of fixed assets	-286	0	0	0
Exchange gain	0	500	0	0
Other	-338	600	600	600
Pre-tax income	14,063	19,855	26,281	35,002
Income tax	-7,272	-8,344	-11,062	-14,727
Net income	**6,791**	**11,511**	**15,220**	**20,275**
EPS (NT$)	**6.91**	**11.71**	**15.48**	**20.63**

Balance Sheet

NT$ mn	2025	2026E	2027E	2028E
Cash	71,116	55,862	60,893	68,078
Mkt securities	36	36	36	36
Accounts/Notes receivables	31,412	35,558	40,722	46,841
Inventory	19,616	22,001	24,735	27,914
Other current assets	5,460	5,460	5,460	5,460
Current Assets	127,641	118,918	131,846	148,329
Long-term investments	9,866	10,416	10,966	11,516
Fixed assets	123,737	145,693	148,605	152,383
Other assets	18,799	18,799	18,799	18,799
Total Assets	**280,043**	**293,825**	**310,216**	**331,027**
S/T borrowings	23,839	23,839	23,839	23,839
AP/NP	23,501	26,358	29,634	33,443
Other ST liabilities	25,481	28,234	31,303	34,871
Other liabilities	21,151	21,151	21,151	21,151
L/T debt	15,359	15,359	15,359	15,359
Total Liabilities	**109,330**	**114,940**	**121,285**	**128,662**
Common shares	10,706	10,706	10,706	10,706
Capital Collection	0	0	0	0
APIC	52,902	52,902	52,902	52,902
Retained earnings	61,549	69,669	79,715	93,150
Treasury Stock	-52	0	0	0
Other shareholders' equity	45607	45607	45607	45607
Shareholders' equity	**170,713**	**178,885**	**188,931**	**202,365**
Total Liab./Shrhldr's Equity	**280,043**	**293,825**	**310,216**	**331,027**

Cash Flow Statement

NT$ mn	2025	2026E	2027E	2028E
Cashflow from operations	**27,617**	**18,085**	**20,204**	**24,025**
Net Profits	10,605	11,511	15,220	20,275
Depreciation	18,552	8,044	7,088	6,222
Equity investment losses (income)	0	-550	-550	-550
Other adjustments	-1,541	-921	-1,553	-1,922
Cashflow from investing	**-31,960**	**-30,000**	**-10,000**	**-10,000**
(Purchases) sale of FA (capex)	-32,673	-30,000	-10,000	-10,000
(Purchases) sale of L/T investment	342	0	0	0
(Purchases) sale of S/T investment	-601	0	0	0
Other adjustments	972	0	0	0
Cashflow from financing	**-1,865**	**-3,339**	**-5,174**	**-6,841**
Increase in L/T debt	6,344	0	0	0
Increase in S/T debt	2,191	0	0	0
Issuance of stock	730	0	0	0
Cash dividends	-7,221	-3,391	-5,174	-6,841
Dir.& Emp. Bonus	0	0	0	0
Changes in Treasury Stocks	288	52	0	0
Other adjustments	-4,196	0	0	0
Exchange rate adjustment	-2,177	0	0	0
Net change in cash	-8,386	-15,254	5,031	7,185

Financial Ratios

	2025	2026E	2027E	2028E
Margins				
Gross margin	19.8%	20.5%	22.0%	23.5%
Operating margin	7.6%	8.6%	10.5%	12.3%
Pretax margin	7.7%	9.6%	11.1%	12.9%
Net margin	3.7%	5.6%	6.4%	7.4%
YoY growth				
Sales	6.3%	13.2%	14.5%	15.0%
Operating profits	20.2%	28.0%	38.9%	35.2%
Pretax profits	-6.5%	41.2%	32.4%	33.2%
Net profits	-26.0%	69.5%	32.2%	33.2%
EPS	-28.6%	69.5%	32.2%	33.2%
Net Debt/Equity (Net of mkt secs.)	-19%	-9%	-12%	-14%
Net Debt/Equity	-19%	-9%	-11%	-14%
Liabilities/Equity	64%	64%	64%	64%
Liabilities/Assets	39%	39%	39%	39%
ROAE	4.2%	6.6%	8.3%	10.4%
ROAA	2.5%	4.0%	5.0%	6.3%
AR/NR Turnover (days)	62	59	59	59
AP/NP Turnover (days)	56	55	55	55
Inventory Turnover (days)	47	46	46	46
Cash conversion cycle (days)	52	50	50	50

Source: Company data, Morgan Stanley Research (E) estimates.

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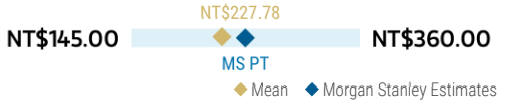
Risk Reward – Zhen Ding (4958.TW)

Beneficiary of FPCB share gains, but valuation keeps us at EW

PRICE TARGET NT$250.00

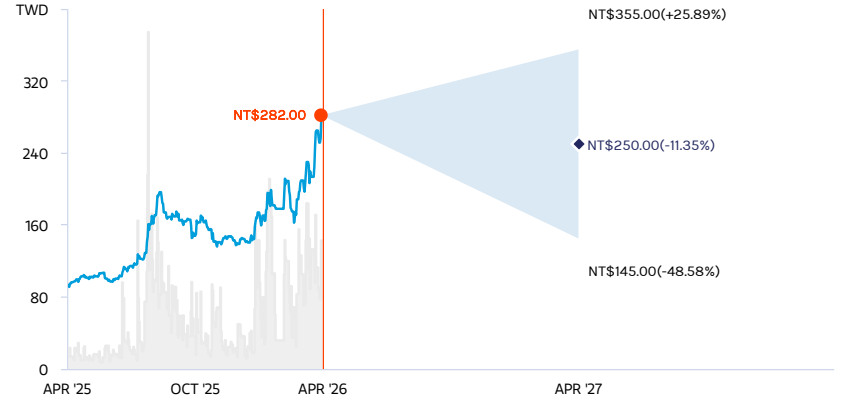
Base case, residual income model. Key assumptions include a cost of equity of 10%, a medium-term growth rate of 9% and a terminal growth rate of 3%.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



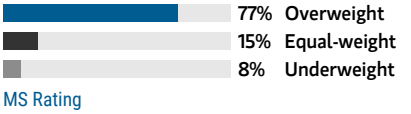
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Volumes are likely to be flat to up LSD y/y in 2026e, but pricing remains the swing factor.
- Depreciation expense should continue to rise in 2026, with new fabs coming online for ABF and RPCB (HDI). Management also expects capex to trend up y/y again in 2026.
- Shenzhen ABF fab 1 continues to ramp, and fab 2 is on track to enter mass production in 2026. New ABF production lines in Kaohsiung started trial production at year-end 2025, and will ramp in 2026.
- We expect increasing macro uncertainties to have a negative impact on consumer spending, which will eventually weigh on pricing and margins of component suppliers like Zhen Ding.
- We find valuation stretched vs. our implied target P/E.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes here

BULL CASE NT$355.00

23x 2027e P/E

Greater share gains and better earnings contribution from new projects such as ABF: Earnings grow meaningfully, led primarily by better utilization for F-PCB and yield rate for SLP, while ZDT also shows fast growth in BT substrate and ABF substrates thanks to better-than-expected yield and execution.

BASE CASE NT$250.00

16x 2027e P/E

Stable demand for F-PCB and SLP, with share gains in BT substrates but skeptical on ABF: Zhen Ding maintains steady shipments of F-PCB and SLP for Apple's products, while gaining share in ABF/BT substrates at the expense of ASP and margins.

BEAR CASE NT$145.00

9x 2027e P/E

Weaker iPhone demand with share loss and low ABF yield rate: iPhone demand misses market expectations, Zhen Ding loses share in F-PCB to Chinese peers, and SLP demand is also weak. BT fails to continue to grow, while low yield rates for ABF lead to significant losses for Zhen Ding.

Lotes: Earnings Estimate Changes

Our 2026e and 2027e EPS estimates increase 5% and 10%, respectively, reflecting higher CPU volume assumptions. We also introduce our 2028e earnings estimates.

Exhibit 29: Earnings Estimate Changes

	2026e			2027e			2028e
NT$ mn	New	Old	Variance	New	Old	Variance	New
Net sales	**41,065**	**40,068**	**2%**	**46,554**	**43,951**	**6%**	**54,672**
COGS	-19,713	-19,323	2%	-22,387	-21,439	4%	-26,110
Gross profit	**21,352**	**20,745**	**3%**	**24,168**	**22,512**	**7%**	**28,562**
Operating expenses	-7,448	-7,400	1%	-7,636	-7,538	1%	-8,204
Operating income	13,905	13,345	4%	16,532	14,973	10%	20,358
Non-operating income	1,258	1,141	10%	1,108	1,141	-3%	1,108
Pre-tax income	15,162	14,486	5%	17,640	16,114	9%	21,466
Income tax	-3,444	-3,292	5%	-3,915	-3,576	9%	-4,732
Net income	**11,638**	**11,114**	**5%**	**13,645**	**12,458**	**10%**	**16,654**
EPS (NT$)	**103.83**	**99.18**	**5%**	**121.74**	**111.17**	**10%**	**148.59**
Margins (%)			***ppt***			***ppt***	
Gross margin	52.0%	51.8%	0.2	51.9%	51.2%	0.7	52.2%
Operating margin	33.9%	33.3%	0.6	35.5%	34.1%	1.4	37.2%
Pre-tax margin	36.9%	36.2%	0.8	37.9%	36.7%	1.2	39.3%
Net margin	28.3%	27.7%	0.6	29.3%	28.3%	1.0	30.5%

Source: Morgan Stanley Research (E) estimates.

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Price Target Discussion and Valuation Methodology

Our price target increase ~51% to NT$2,400 (from NT$1,585), driven by: (1) our raised earnings estimates for CY26-27, (2) the introduction of our CY28 earnings estimates, and (3) the increase in our medium-term growth assumption (from 11% to 12.5%).

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Our new price target implies 20x 2026e P/E or 16.8x 2027e P/E, only slightly above its three-year average forward P/E of ~16x, but still below that of peer Amphenol (30-35x 2026e P/E, based on consensus). We think the stock could re-rate to the high teens if margins hold up well and Lotes' AI PC and AI server exposures grow in coming years.

Our price target, which is our base case scenario value, is derived from a residual income model (RIM), similar to that for the rest of our tech hardware coverage universe. To calculate the intrinsic value of the stock, we use the company's beginning equity plus the present value of all expected residual income of earnings in excess of the cost of capital. The RI is positive when ROAE is above the cost of capital and negative when it is below the cost of capital.

Our key RIM assumptions include a cost of equity of 9.6% (beta of 1.0, equity risk premium of 8.7% and risk-free rate of 1.0%), a medium-term growth rate of 12.5% (up from 11% previously) and a terminal growth rate of 3%.

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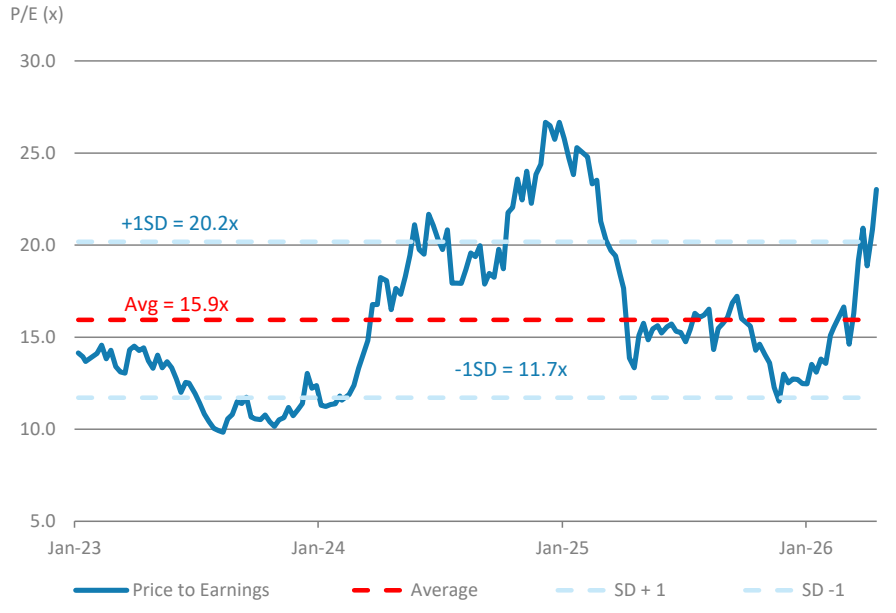
Our bull and bear case values also increase ~51% each, to NT$3,485 and NT1,320, respectively.

Exhibit 30: Residual Income (RI) Model

		2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity		**48,019**	**55,903**	**65,796**	**77,804**	**91,313**	**106,510**	**123,607**	**142,841**	**164,479**	**188,822**	**212,600**
Net Profit		**11,638**	**13,645**	**16,654**	**18,736**	**21,078**	**23,713**	**26,677**	**30,011**	**33,763**	**37,983**	**39,123**
Return on Equity		**26.3%**	**26.3%**	**27.4%**	**26.1%**	**24.9%**	**24.0%**	**23.2%**	**22.5%**	**22.0%**	**21.5%**	**19.5%**
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%
Residual Income		**6,928**	**8,202**	**10,170**	**11,131**	**12,254**	**13,511**	**14,920**	**16,501**	**18,276**	**20,271**	**19,476**
Spread		**17.1%**	**17.1%**	**18.2%**	**16.9%**	**15.7%**	**14.8%**	**14.0%**	**13.3%**	**12.8%**	**12.3%**	**10.3%**
Beginning Equity Capital		48,019										
PV of Forecast Period		86,013										
PV of Continuing Value		134,958										
Equity Value		**268,989**										
No. of Shares		112										
Projected Price		**2,400.0**										

Source: Morgan Stanley Research (E) estimates.

Exhibit 31: Lotes' Three-year P/E Chart



Source: TEJ, Morgan Stanley Research (E) estimates.

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Exhibit 32: Quarterly Earnings Estimates

	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
Net sales	**7,765**	**8,336**	**8,422**	**9,260**	**9,384**	**10,113**	**10,645**	**10,923**	**33,783**	**41,065**	**46,554**	**54,672**
COGS	(3,769)	(4,085)	(4,109)	(4,487)	(4,513)	(4,843)	(5,113)	(5,244)	(16,450)	(19,713)	(22,387)	(26,110)
Gross profit	**3,997**	**4,251**	**4,313**	**4,773**	**4,871**	**5,271**	**5,532**	**5,678**	**17,334**	**21,352**	**24,168**	**28,562**
Operating expenses	(1,546)	(1,653)	(1,788)	(2,002)	(1,890)	(1,885)	(1,857)	(1,816)	(6,989)	(7,448)	(7,636)	(8,204)
SG&A	(762)	(810)	(899)	(1,015)	(932)	(938)	(928)	(896)	(3,486)	(3,694)	(3,799)	(4,202)
R&D	(784)	(843)	(889)	(987)	(957)	(948)	(929)	(920)	(3,503)	(3,754)	(3,837)	(4,002)
Operating income	**2,451**	**2,599**	**2,525**	**2,771**	**2,982**	**3,385**	**3,675**	**3,863**	**10,344**	**13,905**	**16,532**	**20,358**
Non-operating income	**420**	**(1,378)**	**357**	**447**	**425**	**278**	**276**	**278**	**(154)**	**1,258**	**1,108**	**1,108**
Interest income	110	93	54	48	48	48	48	48	305	191	191	191
Investment income	(12)	(10)	(11)	(9)	(12)	(10)	(11)	(10)	(42)	(44)	(44)	(44)
Disposal of investment	(0)	0	0	2	0	0	0	0	2	0	0	0
Exchange gain	234	(1,505)	215	110	150	0	0	0	(946)	150	0	0
Other	89	43	99	296	240	240	240	240	528	960	960	960
Pre-tax income	**2,871**	**1,220**	**2,882**	**3,218**	**3,407**	**3,663**	**3,951**	**4,140**	**10,191**	**15,162**	**17,640**	**21,466**
Income tax	(573)	(457)	(565)	(649)	(733)	(1,064)	(741)	(906)	(2,244)	(3,444)	(3,915)	(4,732)
Minority interest	23	14	(2)	46	20	20	20	20	81	80	80	80
Net income	**2,276**	**749**	**2,318**	**2,523**	**2,655**	**2,579**	**3,190**	**3,215**	**7,866**	**11,638**	**13,645**	**16,654**
Adj.wtd.avg.shrs (mn)	113	112	112	112	112	112	112	112	112	112	112	112
EPS	**20.22**	**6.69**	**20.71**	**22.51**	**23.68**	**23.00**	**28.45**	**28.68**	**70.18**	**103.83**	**121.74**	**148.59**
Fully Diluted shares (mn)	113	112	112	112	112	112	112	112	112	112	112	112
Diluted EPS (NT$)	**20.22**	**6.69**	**20.71**	**22.51**	**23.68**	**23.00**	**28.45**	**28.68**	**70.18**	**103.83**	**121.74**	**148.59**
Margins (%)												
Gross Margin	51.5	51.0	51.2	51.5	51.9	52.1	52.0	52.0	51.3	52.0	51.9	52.2
Operating Margin	31.6	31.2	30.0	29.9	31.8	33.5	34.5	35.4	30.6	33.9	35.5	37.2
Pretax Margin	37.0	14.6	34.2	34.8	36.3	36.2	37.1	37.9	30.2	36.9	37.9	39.3
Net Margin	29.3	9.0	27.5	27.2	28.3	25.5	30.0	29.4	23.3	28.3	29.3	30.5
QoQ Growth (%)												
Sales	-6	7	1	10	1	8	5	3				
Gross Profit	-9	6	1	11	2	8	5	3				
Operating Profit	-14	6	-3	10	8	14	9	5				
Pretax Profit	-20	-58	136	12	6	8	8	5				
Net Profit	-22	-67	209	9	5	-3	24	1				
YoY Growth (%)												
Sales	22	13	4	12	21	21	26	18	12	22	13	17
Gross Profit	23	10	2	8	22	24	28	19	10	23	13	18
Operating Profit	21	1	-10	-3	22	30	46	39	1	34	19	23
Pretax Profit	7	-59	10	-11	19	200	37	29	(14)	49	16	22
Net Profit	10	-67	12	-13	17	244	38	27	(15)	48	17	22

Source: Company data, Morgan Stanley Research (E) estimates.

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Exhibit 33: Consolidated Financial Summary

Consolidated Income Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Net sales	**33,783**	**41,065**	**46,554**	**54,672**
COGS	(16,450)	(19,713)	(22,387)	(26,110)
Gross profit	**17,334**	**21,352**	**24,168**	**28,562**
Operating expenses	(6,989)	(7,448)	(7,636)	(8,204)
Operating income	**10,344**	**13,905**	**16,532**	**20,358**
Non-operating income	**(154)**	**1,258**	**1,108**	**1,108**
Interest income	305	191	191	191
Investment income	(42)	(44)	(44)	(44)
Disposal of investment	2	-	-	-
Exchange gain	(946)	150	-	-
Other	528	960	960	960
Pre-tax income	**10,191**	**15,162**	**17,640**	**21,466**
Income tax	(2,244)	(3,444)	(3,915)	(4,732)
Minority interests	81	80	80	80
Net income	**7,866**	**11,638**	**13,645**	**16,654**
Adj. wtd. Avg. shrs (m)	112	112	112	112
Reported EPS (NT$)	**70.18**	**103.83**	**121.74**	**148.59**
Diluted shrs (m)	112	112	112	112
Diluted EPS (NT$)	**70.18**	**103.83**	**121.74**	**148.59**

Consolidated Cash Flow Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Operating Cashflow	**8,528**	**11,861**	**14,294**	**16,206**
Net Profits	7,866	11,638	13,645	16,654
Depreciation & Amort.	2,610	2,610	2,381	2,195
Investment losses/(income)	(2)	44	44	44
Working capital change	18,898	(2,183)	(1,588)	(2,411)
Other adjustments	(20,658)	(248)	(187)	(276)
Investing Cashflow	**(5,857)**	**(1,432)**	**(1,423)**	**(1,409)**
Capex	(4,976)	(1,500)	(1,500)	(1,500)
Change of L/T investment	(62)	0	0	0
Change of S/T investment	(746)	0	0	0
Other adjustments	(129)	0	0	0
Financing Cashflow	**(8,844)**	**(3,709)**	**(5,639)**	**(6,561)**
Increase in L/T debt	0	0	0	0
Increase in S/T debt	(3,551)	0	0	0
Issuance of stock	0	(5)	0	0
Cash dividends	(4,803)	(3,923)	(5,804)	(6,805)
Other adjustments	(490)	218	165	244
FX adjustment	15	(150)	0	0
Net change in cash	**(6,159)**	**6,570**	**7,232**	**8,236**

Consolidated Balance Sheet

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Cash	**12,500**	**19,070**	**26,303**	**34,538**
Mkt securities	1,029	1,029	1,029	1,029
AR/NR	14,182	17,239	19,543	22,951
Inventory	4,375	5,243	5,954	6,944
Others	1,148	1,396	1,582	1,858
Current Assets	**33,234**	**43,977**	**54,411**	**67,321**
Long-term investments	962	962	962	962
Fixed assets	13,429	12,251	11,292	10,507
Other assets	2,808	2,808	2,808	2,808
Total Assets	**50,433**	**59,998**	**69,473**	**81,597**
S/T borrowings	225	225	225	225
AP/NP	3,678	4,408	5,005	5,838
Other ST liabilities	5,102	6,114	6,943	8,098
Total Current Liabilities	**9,005**	**10,747**	**12,174**	**14,161**
L/T debt	-	-	-	-
Other LT libilities	1,013	1,232	1,397	1,640
Total Liabilities	**10,018**	**11,979**	**13,570**	**15,801**
Common shares	1,125	1,121	1,121	1,121
Retained Earnings	25,394	33,003	40,887	50,780
Other SH' Equity	13,895	13,895	13,895	13,895
Total Shareholders' Equity	**40,415**	**48,019**	**55,903**	**65,796**
Total Liab./SH's Equity	**50,433**	**59,998**	**69,473**	**81,597**

Consolidated Financial Ratios

	2025	2026E	2027E	2028E
Margins (%)				
Gross margin	51.3	52.0	51.9	52.2
Operating margin	30.6	33.9	35.5	37.2
Pretax margin	30.2	36.9	37.9	39.3
Net margin	23.3	28.3	29.3	30.5
YoY growth (%)				
Sales	12.3	21.6	13.4	17.4
Operating profits	1.0	34.4	18.9	23.1
Pretax profits	(14.1)	48.8	16.3	21.7
Net profits	(15.2)	48.0	17.2	22.1
Others				
Cash dividend payout (%)	50%	50%	50%	50%
Cash div (NT$)	35.00	51.78	60.71	74.10
Yield (%)	1%	2%	2%	3%
Net Debt/Equity (%)	-33%	-41%	-48%	-54%
Liabilities/Equity (%)	25%	25%	24%	24%
Liabilities/Assets (%)	20%	20%	20%	19%
ROAE (%)	20%	26%	26%	27%
ROAA (%)	16%	21%	21%	22%
AR/NR Turnover (days)	145	140	144	142
Inventory Turnover (days)	86	89	91	90
AP/NP Turnover (days)	72	75	77	76
Cash conversion cycle	159	154	159	156

Source: Company data, Morgan Stanley Research (E) estimates.

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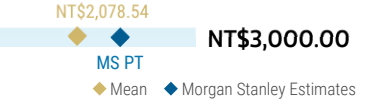
Risk Reward – Lotes Co. Ltd. (3533.TW)

Benefiting from better mix, but FX remains near-term headwind; EW

PRICE TARGET NT$2,400.00

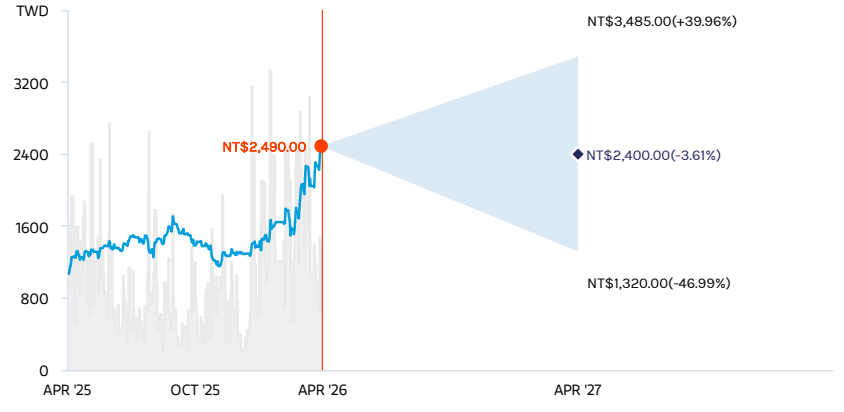
Primary - Residual Income
Base case, residual income model. Key assumptions include a cost of equity of 9.6% (beta of 1.0, equity risk premium of 8.7% and risk-free rate of 1.0%), a medium-term growth rate of 12.5%, and a terminal growth rate of 3%.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



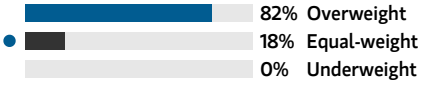
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We see limited room for margin expansion in the near to medium term because of rising costs, Vietnam plant ramp-up, and FX impact.
- Lotes is a potential beneficiary of more liquid-cooled servers for its universal quick disconnect (UQD) offerings as well as GPU socket adoption, but the latter will likely take time to be realized.
- Adoption of NVQD and SOCAMM connectors for memory is possible for GB300 Bianca boards this year, earlier than prior expectations, but not 100% confirmed.
- Our price target implies 20x 2027e P/E vs. its current valuation at 20.4x 2027e P/E, which looks stretched to us.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$3,485.00

28.5x 2027e P/E

Faster server and PC demand growth in 2026 with strong EV project ramp-up: Server and PC demand enjoys significantly stronger growth in 2026, driven by new data center builds/replacements as well as Windows replacement and upgrades for PCs. Demand from its strategic customers continues to grow in response to positive feedback on its own silicon. Growth from automotive is much better, with share gains and new project wins.

BASE CASE NT$2,400.00

20x 2027e P/E

Server business has content growth tailwinds; DT volumes stabilize in the next two to three years, but enjoy content growth; limited room for margin expansion in the next three years: We forecast a total sales CAGR of ~17% in 2025-28, with operating profit margin increasing to 37% by 2028e vs. ~34% in 2024 and 31% in 2025.

BEAR CASE NT$1,320.00

11x 2027e P/E

Much weaker server and PC demand in 2026; automotive projects ramp-up is slower than expected in coming years: Server and PC demand declines much more than we anticipate in 2026, hampered by a weakening macro backdrop. Demand from its strategic customers also faces these challenging headwinds. Demand upturn for automotive is much slower, as are new project wins in the coming quarters.

Risk Reward – Lotes Co. Ltd. (3533.TW)

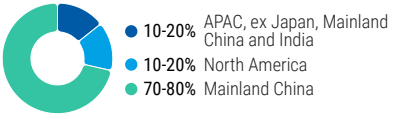
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Server revenue contribution (%)	39.8	47.1	49.5	52.1
Auto revenue contribution (%)	7.3	7.3	7.0	7.1

INVESTMENT DRIVERS

- CPU socket, DDR, PCIe upgrades for servers
- CPU socket, DDR, PCIe upgrades for desktops
- Rising EV penetration rate
- Margin expansion driven by more favorable product mix

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 **MOST** 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected growth in the server business, such as from cloud and enterprise in China
- Stronger-than-expected DT demand
- Sooner-than-expected inventory digestion of NB
- Faster ramp-up of its EV business

RISKS TO DOWNSIDE

- Further deceleration of server demand from US hyperscalers
- Weaker-than-expected DT demand
- Slower-than-expected inventory digestion of NB
- More severe pricing erosion driven by competition

OWNERSHIP POSITIONING

Inst. Owners, % Active 62.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (NT$, mn)	42,142	46,554 / 46,944	53,271
Net income (NT$, mn)	12,199	13,645 / 13,530	15,791
EPS (NT$)	108.81	121.74 / 120.61	140.32

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

FIT Hon Teng: Earnings Estimate Changes

Our 2026 EPS estimate declines 8%, primarily driven by lowered assumptions for FIT's consumer electronics business (mainly Smartphone and System business), while our 2027 EPS estimate increases 3%, as we factor in higher margin assumptions from consumer electronics products. Our 2025 earnings estimates are unchanged.

Exhibit 34: Earnings Estimate Changes

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(US$m)	New	Old	Diff %	New	Old	Diff %	New	Old	Diff %
P&L Summary	**F2025E**			**F2026E**			**F2027E**		
Net sales	**5,003**	**5,003**	**0%**	**5,483**	**5,681**	**-3%**	**6,584**	**6,802**	**-3%**
COGS	(4,057)	(4,057)		(4,330)	(4,450)		(5,063)	(5,247)	
Gross profit	**946**	**946**	**0%**	**1,153**	**1,231**	**-6%**	**1,521**	**1,555**	**-2%**
Operating expenses	(659)	(659)		(681)	(718)		(816)	(865)	
Operating income	**287**	**287**	**0%**	**472**	**513**	**-8%**	**705**	**690**	**2%**
Non-operating income	(49)	(49)		(49)	(49)		(49)	(49)	
Pre-tax income	**238**	**238**	**0%**	**423**	**465**	**-9%**	**656**	**641**	**2%**
Income tax	(82)	(82)		(132)	(146)		(220)	(216)	
Net income	**156**	**156**	**0%**	**291**	**315**	**-8%**	**436**	**422**	**3%**
EPS-Basic(US cents)	**2.20**	**2.20**	**0%**	**4.11**	**4.44**	**-8%**	**6.15**	**5.95**	**3%**
EPS-Basic (HK cents)	**17.18**	**17.18**	**0%**	**32.05**	**34.66**	**-8%**	**47.96**	**46.39**	**3%**
Margins									
Gross margin	18.9%	18.9%		21.0%	21.7%		23.1%	22.9%	
Operating margin	5.7%	5.7%		8.6%	9.0%		10.7%	10.1%	
Pretax margin	4.8%	4.8%		7.7%	8.2%		10.0%	9.4%	
Net margin	3.1%	3.1%		5.3%	5.5%		6.6%	6.2%	

Source: Morgan Stanley Research (E) estimates.

Price Target Discussion and Valuation Methodology

Our price target increases ~30% to HK$9.60, on the back of an increase in our medium-term growth assumption (10%, from 8% previously), as we factor in stronger CPU demand from agentic AI that should be sustained in the coming years.

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Our price target is our base case scenario value, derived from a residual income (RI) model, similar to the rest of our tech hardware coverage. Our key assumptions include:

Cost of equity of 6.3% (beta of 1.06, equity risk premium of 6.0%, and risk-free rate of 0%),

Medium-term growth rate of 10% (up from 8%), and

Terminal growth rate of 3%.

Our price target implies ~20x 2027e P/E, which is higher than FIT's three-year trading average +1SD of ~18x. We view this as justified in view of FIT's share gains in the AI server value chain, its dominant position in the general CPU server connector market (primarily high-end CPU sockets and PCIe connectors), as well as its improving ROE and profitability, which support re-rating.

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Our bull and bear case values also increase ~30% to HK$12.50 and HK$4.40, respectively.

Exhibit 37: Quarterly Earnings Estimates

US$mn	1H24	2H24	1H25	2H25P	1H26E	2H26E	1H27E	2H27E	F2024	F2025E	F2026E	F2027E
Net sales	**2,067**	**2,385**	**2,305**	**2,698**	**2,533**	**2,950**	**3,004**	**3,580**	**4,451**	**5,003**	**5,483**	**6,584**
COGS	(1,646)	(1,927)	(1,876)	(2,181)	(2,010)	(2,320)	(2,304)	(2,759)	(3,573)	(4,057)	(4,330)	(5,063)
Gross profit	**421**	**457**	**429**	**517**	**523**	**630**	**700**	**821**	**879**	**946**	**1,153**	**1,521**
Other income (expense)	-	-	-	-	-	-	-	-	-	-	-	-
Operating expenses	**(328)**	**(224)**	**(323)**	**(335)**	**(355)**	**(326)**	**(409)**	**(408)**	**(552)**	**(659)**	**(681)**	**(816)**
Selling and distribution	(62)	(69)	(57)	(71)	(64)	(79)	(77)	(98)	(131)	(128)	(143)	(175)
Administrative	(118)	(123)	(158)	(82)	(156)	(92)	(167)	(106)	(242)	(240)	(248)	(272)
R&D	(172)	(158)	(163)	(191)	(169)	(213)	(202)	(258)	(330)	(354)	(382)	(460)
Other OP income (expense)- net	24	127	55	9	33	58	37	55	151	64	91	92
Operating income	**93**	**234**	**105**	**182**	**168**	**304**	**291**	**413**	**327**	**287**	**472**	**705**
Non-operating income	**(32)**	**(74)**	**(25)**	**(24)**	**(25)**	**(24)**	**(25)**	**(24)**	**(106)**	**(49)**	**(49)**	**(49)**
Profit & Loss of Investment	(6)	(52)	0	(1)	0	(1)	0	(1)	(58)	(1)	(1)	(1)
Finance income	15	12	10	13	10	13	10	13	26	24	24	24
Finance cost	(40)	(34)	(35)	(37)	(35)	(37)	(35)	(37)	(74)	(72)	(72)	(72)
Other income (expense)	-	-	-	-	-	-	-	-	-	-	-	-
Pre-tax income	**61**	**159**	**80**	**158**	**143**	**280**	**267**	**389**	**221**	**238**	**423**	**656**
Income tax	(29)	(37)	(50)	(31)	(79)	(53)	(147)	(74)	(66)	(82)	(132)	(220)
Consolidated income	**33**	**122**	**30**	**126**	**64**	**227**	**120**	**316**	**154**	**157**	**291**	**436**
Minority interest	0	0	(1)	2	-	-	-	-	1	1	-	-
Net income	**33**	**121**	**32**	**125**	**64**	**227**	**120**	**316**	**154**	**156**	**291**	**436**
Adj.wtd.avg.shrs (m)	7,085	7,087	7,087	7,087	7,087	7,087	7,087	7,087	7,087	7,087	7,087	7,087
EPS (US cents)	**0.46**	**1.71**	**0.44**	**1.76**	**0.91**	**3.20**	**1.69**	**4.46**	**2.17**	**2.20**	**4.11**	**6.15**
EPS (HK cents)	**3.56**	**13.26**	**3.45**	**13.62**	**7.04**	**24.81**	**13.12**	**34.53**	**16.92**	**17.18**	**32.05**	**47.96**
Margins												
Gross margin (%)	20.4	19.2	18.6	19.2	20.7	21.4	23.3	22.9	19.7	18.9	21.0	23.1
Operating margin (%)	4.5	9.8	4.6	6.7	6.6	10.3	9.7	11.5	7.3	5.7	8.6	10.7
OPM excl. one time charges (%)	4.5	9.8	4.6	6.7	6.6	10.3	9.7	11.5	7.3	5.7	8.6	10.7
Pretax margin (%)	3.0	6.7	3.5	5.8	5.6	9.5	8.9	10.9	5.0	4.8	7.7	10.0
Net margin (%)	1.6	5.1	1.4	4.6	2.5	7.7	4.0	8.8	3.5	3.1	5.3	6.6
HoH												
Sales (%)	(14)	15	(3)	17	(6)	16	2	19				
Gross profit (%)	(20)	9	(6)	21	1	20	11	17				
Operating profit (%)	(57)	151	(55)	73	(8)	81	(4)	42				
Pretax profit (%)	(67)	159	(49)	96	(9)	96	(5)	46				
Net profit (%)	(78)	273	(74)	295	(48)	252	(47)	163				
YoY												
Sales (%)	16	(1)	12	13	10	9	19	21	6	12	10	20
Gross profit (%)	49	(13)	2	13	22	22	34	30	9	8	22	32
Operating profit (%)	98	8	13	(22)	60	67	74	36	24	(12)	64	49
Pretax profit (%)	163	(14)	31	(1)	78	78	86	39	6	8	78	55
Net profit (%)	375	(19)	(3)	3	104	82	86	39	(2)	2	87	50

Source: Company data, Morgan Stanley Research (E) estimates.

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Exhibit 38: Consolidated Financial Summary

Income Statement

US$ mn; Year end March	F2024	F2025E	F2026E	F2027E
Net sales	**4,451**	**5,003**	**5,483**	**6,584**
COGS	(3,573)	(4,057)	(4,330)	(5,063)
Gross profit	**879**	**946**	**1,153**	**1,521**
Other operating income	0	0	0	0
Operating expenses	**(552)**	**(659)**	**(681)**	**(816)**
Operating income	**327**	**287**	**472**	**705**
Profit/Loss of Investment	(58)	(1)	(1)	(1)
Finance income	26	24	24	24
Finance cost	(74)	(72)	(72)	(72)
Pre-tax income	**221**	**238**	**423**	**656**
Income tax	(66)	(82)	(132)	(220)
Consolidated income	**154**	**157**	**291**	**436**
Minority interest	**1**	**1**	**0**	**0**
Net income	**154**	**156**	**291**	**436**
Diluted EPS (US cents)	**2.17**	**2.20**	**4.11**	**6.15**

Cash Flow Statement

US$ mn; Year end March	F2024	F2025E	F2026E	F2027E
Operating CF	**253**	**912**	**510**	**640**
Net Profits	154	156	291	436
Depreciation	250	250	250	250
Equity losses/(income)	(58)	(1)	(1)	(1)
Other adjustments	(92)	507	(31)	(45)
Investing CF	**(475)**	**(950)**	**(415)**	**(415)**
Capex	(375)	(950)	(415)	(415)
Change of S/T investment	(7)	0	0	0
Other adjustments	(107)	0	0	0
Financing CF	**59**	**(145)**	**(138)**	**(216)**
Increase in L/T debt	0	0	0	0
Increase in S/T debt	154	0	0	0
Issuance of stock	(1)	0	0	0
Cash dividends	0	(88)	(90)	(167)
Dir.& Emp. Bonus	0	0	0	0
Changes in Treasury Stocks	0	0	0	0
Other adjustments	(94)	(57)	(49)	(49)
FX adjustment	(41)	0	0	0
Net change in cash	(204)	(183)	(43)	9

Balance Sheet

US$ mn; Year end March	F2024	F2025E	F2026E	F2027E
Cash	1,113	930	886	895
Mkt securities	0	0	0	0
AR/NR	910	982	1,076	1,292
Inventory	904	365	390	456
Others	233	233	233	233
Current Assets	3,160	2,510	2,585	2,876
Long-term investments	15	14	14	13
Fixed assets	1,191	1,950	2,165	2,380
Other assets	376	376	376	376
Total Assets	**5,470**	**5,578**	**5,868**	**6,374**
S/T borrowings	904	904	904	904
AP/NP	1,271	1,311	1,399	1,636
Other ST liabilities	66	66	66	66
Other liabilities	112	112	112	112
L/T debt	634	634	634	634
Total Liabilities	**2,987**	**3,027**	**3,115**	**3,352**
Common shares	142	142	142	142
Reserves	2,422	2,491	2,692	2,961
Shareholders' equity	**2,483**	**2,552**	**2,753**	**3,022**
Total Liab./SH's Equity	**5,470**	**5,578**	**5,868**	**6,374**

Financial Ratios

US$ mn; Year end March	F2024	F2025E	F2026E	F2027E
Margins				
Gross margin	19.7%	18.9%	21.0%	23.1%
Operating margin	7.3%	5.7%	8.6%	10.7%
Pretax margin	5.0%	4.8%	7.7%	10.0%
Net margin	3.5%	3.1%	5.3%	6.6%
YoY growth				
Sales	6%	12%	10%	20%
Operating profits	24%	-12%	64%	49%
Pretax profits	23%	8%	78%	55%
Net profits	19%	2%	87%	50%
EPS	19%	2%	87%	50%
Others				
Net Debt/Equity	17%	24%	24%	21%
Liabilities/Equity	120%	119%	113%	111%
Liabilities/Assets	55%	54%	53%	53%
ROAE	6%	6%	11%	15%
ROAA	3%	3%	5%	7%
AR/NR Turnover (days)	71	69	69	66
AP/NP Turnover (days)	121	116	114	109
Inventory Turnover (days)	87	57	32	30
Cash conversion (days)	37	10	-14	-13

Source: Company data, Morgan Stanley Research (E) estimates.

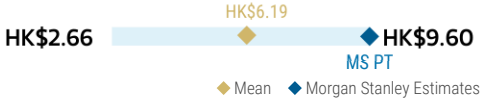
Risk Reward – FIT Hon Teng Ltd (6088.HK)

Content gains driven by AI infrastructure component leadership; OW

PRICE TARGET HK$9.60

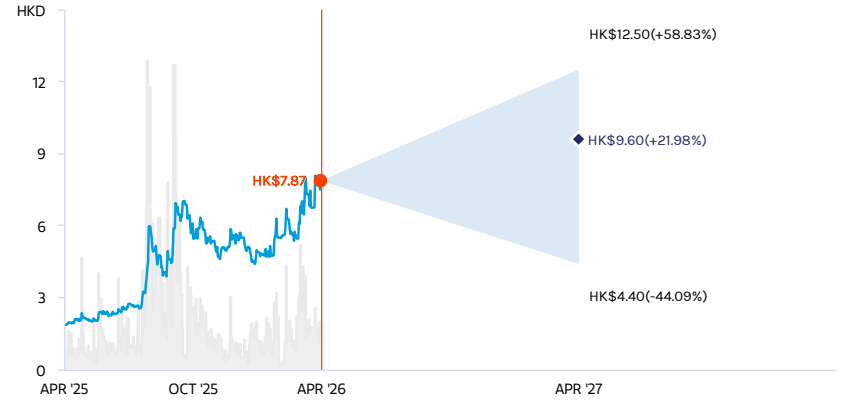
Base case scenario value, derived from a residual income valuation model. Our key assumptions include a cost of equity of 6.3%, a medium-term growth rate of 10%, and a terminal growth rate of 3%.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



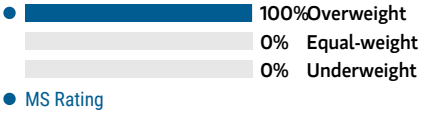
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- FIT looks well positioned to benefit from advancements in AI hardware designs by leveraging its expertise in connectivity solutions.
- We expect FIT to capture more share in the AI server value chain, due to its relationship with parent company Hon Hai, a key AI system design/manufacturing partner to Nvidia.
- FIT's smartphone, non-AI cloud data center, and consumer Interconnect businesses should continue to generate profits, driven by its dominant shares in these markets, and above corporate average margins.
- Our PT implies ~20x 2027e P/E, higher than FIT's 3-year trading avg +1SD of ~18x, which we view as fair given share gains in AI server value chain and its position in CPU server connectors.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles:	*Positive*
New Data Era:	*Positive*
Technology Diffusion:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE HK$12.50

26x 2027e P/E

(1) Increasing penetration of liquid cooling in servers/data centers; (2) faster-than-expected server power requirement upgrades; (3) more AI server cable/connector project wins; and (4) faster-than-expected AirPods assembly share gains and capacity expansion.

BASE CASE HK$9.60

20x 2027e P/E

(1) increasing penetration of liquid cooling in servers/data centers; (2) server power requirement upgrades; (3) AI server cable/connector project wins; and (4) AirPods assembly share gains and capacity expansion.

BEAR CASE HK$4.40

9.2x 2027e P/E

(1) Slower-than-expected penetration of liquid cooling in servers/data centers; (2) slower-than-expected server power requirement upgrades; (3) AI server cable/connector share loss; and (4) slower-than-expected AirPods assembly share gains and capacity expansion.

Risk Reward – FIT Hon Teng Ltd (6088.HK)

KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
iPhone charger connector shipments y/y (%)	(0.5)	7.4	3.9	1.0
iPhone charging cable shipments y/y (%)	(5.9)	(11.5)	1.0	1.0
Cloud Datacenter GM (%)	47.9	49.2	49.9	48.5
Cloud Datacenter revenue (US$, mn)	591	813	1,196	1,860
System revenue (US$, mn)	1,416	1,355	1,468	1,768

CATALYST CALENDAR

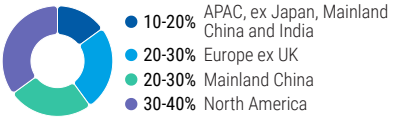
Source: Refinitiv, Morgan Stanley

Date	Event
19 Jun 2026 - 23 Jun 2026	Foxconn Interconnect Technology Ltd Annual Shareholders Meeting

INVESTMENT DRIVERS

- Share gains in the AI server value chain
- Share gains in AirPods assembly market
- AI hardware technology advancements
- Inorganic growth from new acquisitions

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher-than-expected revenues from the smartphone and system segments
- Faster-than-expected AI hardware technology migration and share gains, driving profit expansion

RISKS TO DOWNSIDE

- Lower-than-expected revenues from the smartphone and system segments
- Slower-than-expected AI hardware technology migration and share gains

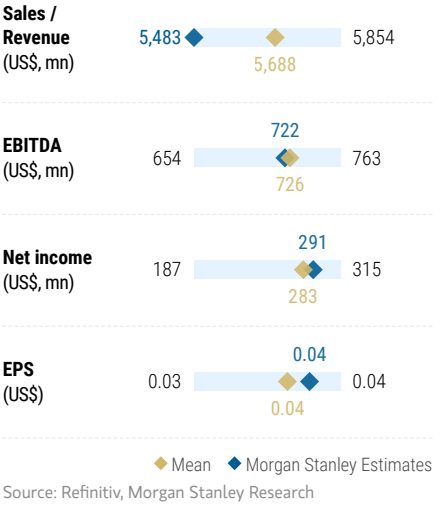
OWNERSHIP POSITIONING

Inst. Owners, % Active 56.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Inspur: Earnings Estimate Changes

Our 2026 EPS estimate declines 7% mainly due to our lowered margin assumptions, while our 2027 EPS estimate increases 18% on the back of stronger domestic AI and general server demand despite also lowered margin assumptions due to the margin-dilutive nature of AI servers.

We also introduce our 2028e earnings estimates.

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Exhibit 39: Earnings Estimate Changes

Year to Dec. 31	2025P		% diff	2026E		% diff	2027E		% diff	2028E
(RMB mn)	New	Old		New	Old		New	Old		New
P&L Summary										
Net sales	**164,782**	**163,728**	**1%**	**221,860**	**196,877**	**13%**	**313,413**	**217,372**	**44%**	**421,565**
COGS	(156,962)	(155,633)		(211,535)	(186,208)		(299,763)	(205,882)		(404,389)
Gross profit	**7,820**	**8,095**	**-3%**	**10,325**	**10,669**	**-3%**	**13,651**	**11,490**	**19%**	**17,176**
Operating expenses	(6,001)	(5,495)		(7,243)	(6,409)		(9,397)	(7,080)		(11,791)
Operating income	**1,819**	**2,600**	**-30%**	**3,082**	**4,259**	**-28%**	**4,254**	**4,409**	**-4%**	**5,385**
Non-operating income	650	49		389	(482)		389	(482)		389
Pre-tax income	**2,468**	**2,649**	**-7%**	**3,471**	**3,777**	**-8%**	**4,643**	**3,927**	**18%**	**5,774**
Income tax	(59)	(90)		(137)	(189)		(184)	(151)		(228)
Minority interest	4	(7)		-	-		-	-		-
Net income	**2,413**	**2,553**	**-5%**	**3,334**	**3,588**	**-7%**	**4,458**	**3,776**	**18%**	**5,546**
EPS (RMB)	**1.64**	**1.73**	**-5%**	**2.26**	**2.44**	**-7%**	**3.03**	**2.56**	**18%**	**3.77**
Margins										
Gross margin	4.7%	4.9%		4.7%	5.4%		4.4%	5.3%		4.1%
Operating margin	1.1%	1.6%		1.4%	2.2%		1.4%	2.0%		1.3%
Pretax margin	1.5%	1.6%		1.6%	1.9%		1.5%	1.8%		1.4%
Net margin	1.5%	1.6%		1.5%	1.8%		1.4%	1.7%		1.3%

Source: Morgan Stanley Research (E) estimates.

Price Target Discussion and Valuation Methodology

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We raise our 12-month price target by ~33% to Rmb75 (from Rmb56.50), and stay EW. The increase in our price target is mainly driven by model rollover to 2026 and the introduction of our 2028e earnings estimates. Our new PT implies ~33x our 2026e EPS or ~25x our 2027e EPS, above its 5-yr P/E avg of 24.4x, which we think is fair due to strong domestic demand for AI servers in China.

Our key assumptions are all unchanged, including a cost of equity of 8.4% (with a beta of 1.2, equity risk premium 5.9%, and risk-free rate 1.3%), a medium-term growth rate of 11% and a terminal growth rate of 3%.

Our bull and bear case values are raised to Rmb96.10 and Rmb43.50, respectively, in-line with the magnitude of the increase to our base case value.

Exhibit 40: Residual Income (RI) Model

RMB mn	2026E	2027E	2028E	2029E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity	**25,484**	**29,382**	**34,199**	**37,169**	**40,466**	**44,126**	**48,188**	**52,697**	**57,703**	**63,258**	**69,425**	**76,270**
Net Profit	**3,334**	**4,458**	**5,546**	**6,156**	**6,833**	**7,584**	**8,419**	**9,345**	**10,373**	**11,513**	**12,780**	**14,186**
Return on Equity	**13.9%**	**16.3%**	**17.4%**	**17.3%**	**17.6%**	**17.9%**	**18.2%**	**18.5%**	**18.8%**	**19.0%**	**19.3%**	**19.5%**
Beta	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2
Equity Risk Premium (Rm-Rf)	5.9%	5.9%	5.9%	5.9%	5.9%	5.9%	5.9%	5.9%	5.9%	5.9%	5.9%	5.9%
Risk Free Rate (Rf)	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%
Cost of Equity	8.4%	8.4%	8.4%	8.4%	8.4%	8.4%	8.4%	8.4%	8.4%	8.4%	8.4%	8.4%
Beginning Equity Capital	25,484											
PV of Forecast Period	25,979											
PV of Continuing Value	58,947											
Equity Value	**110,410**											
No. of Shares	1,472											
Projected Price (EoY)	**75.00**											

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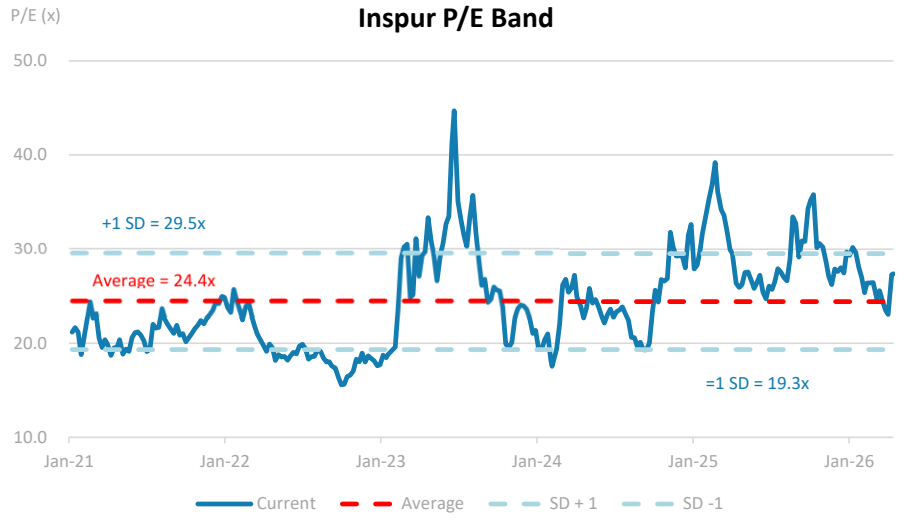
Source: Morgan Stanley Research (E) estimates.

Exhibit 41: Inspur's Three-year P/E Chart



Source: TEJ, Morgan Stanley Research (E) estimates.

Financials

Exhibit 42: Quarterly Earnings Estimates

RMB mn	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2025P	2026E	2027E	2028E
Net sales	**46,858**	**33,334**	**40,477**	**44,113**	**45,797**	**50,909**	**59,207**	**65,948**	**164,782**	**221,860**	**313,413**	**421,565**
COGS	(45,293)	(31,345)	(38,280)	(42,045)	(43,654)	(48,550)	(56,443)	(62,889)	(156,962)	(211,535)	(299,763)	(404,389)
Gross profit	**1,566**	**1,989**	**2,197**	**2,068**	**2,143**	**2,359**	**2,763**	**3,060**	**7,820**	**10,325**	**13,651**	**17,176**
Operating expenses	(1,071)	(1,407)	(1,521)	(2,001)	(1,607)	(1,703)	(1,884)	(2,050)	(6,001)	(7,243)	(9,397)	(11,791)
SG&A, R&D exp.	(1,071)	(1,407)	(1,521)	(2,001)	(1,607)	(1,703)	(1,884)	(2,050)	(6,001)	(7,243)	(9,397)	(11,791)
Employee bonus	13	14	15	16	17	18	19	20	2	3	4	5
Operating income	**495**	**582**	**676**	**66**	**536**	**656**	**879**	**1,010**	**1,819**	**3,082**	**4,254**	**5,385**
Non-operating income	**(13)**	**(219)**	**2**	**880**	**97**	**97**	**97**	**97**	**650**	**389**	**389**	**389**
Interest income	(164)	(420)	(48)	26	(268)	(268)	(268)	(268)	(607)	(1,071)	(1,071)	(1,071)
Investment income	(2)	0	(2)	6	15	15	15	15	3	60	60	60
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0	0
Exchange gain	0	0	0	0	0	0	0	0	0	0	0	0
Other	154	201	52	848	350	350	350	350	1,254	1,400	1,400	1,400
Pre-tax income	**482**	**363**	**678**	**946**	**633**	**753**	**977**	**1,107**	**2,468**	**3,471**	**4,643**	**5,774**
Income tax	(20)	(26)	13	(26)	(25)	(38)	(29)	(44)	(59)	(137)	(184)	(228)
Minority interest	1	(1)	(7)	11	0	0	0	0	4	0	0	0
Net income	**463**	**336**	**683**	**931**	**608**	**716**	**947**	**1,063**	**2,413**	**3,334**	**4,458**	**5,546**
Adj.wtd.avg.shrs (mn)	1,472	1,472	1,472	1,472	1,472	1,472	1,472	1,472	1,472	1,472	1,472	1,472
EPS (RMB)	**0.31**	**0.23**	**0.46**	**0.63**	**0.41**	**0.49**	**0.64**	**0.72**	**1.64**	**2.26**	**3.03**	**3.77**
Fully diluted shares (mn)	1,472	1,472	1,472	1,472	1,469	1,469	1,469	1,469	1,472	1,472	1,472	1,472
Diluted EPS (RMB)	**0.31**	**0.23**	**0.46**	**0.63**	**0.41**	**0.49**	**0.65**	**0.72**	**1.64**	**2.26**	**3.03**	**3.77**
Margins (%)												
Gross Margin	3.3	6.0	5.4	4.7	4.7	4.6	4.7	4.6	4.7	4.7	4.4	4.1
Operating Margin	1.1	1.7	1.7	0.2	1.2	1.3	1.5	1.5	1.1	1.4	1.4	1.3
Pretax Margin	1.0	1.1	1.7	2.1	1.4	1.5	1.6	1.7	1.5	1.6	1.5	1.4
Net Margin	1.0	1.0	1.7	2.1	1.3	1.4	1.6	1.6	1.5	1.5	1.4	1.3
QoQ Growth (%)												
Sales	48	-29	21	9	4	11	16	11				
Gross Profit	-30	27	10	-6	4	10	17	11				
Operating Profit	51	18	16	-90	707	22	34	15				
Pretax Profit	-55	-25	87	40	-33	19	30	13				
Net Profit	-54	-27	103	36	-35	18	32	12				
YoY Growth (%)												
Sales	166	36	-1	39	-2	53	46	49	44	35	41	35
Gross Profit	12	10	-3	-8	37	19	26	48	1	32	32	26
Operating Profit	34	25	-14	-80	8	13	30	1,421	(7)	69	38	27
Pretax Profit	57	24	-3	-11	31	108	44	17	4	41	34	24
Net Profit	51	16	-2	-7	31	113	39	14	5	38	34	24

Source: Company data, Morgan Stanley Research (E) estimates.

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Exhibit 43: Consolidated Financial Summary

Consolidated Income Statement

RMBmn (Year End Dec 31)	2025P	2026E	2027E	2028E
Net sales	**164,782**	**221,860**	**313,413**	**421,565**
COGS	(156,962)	(211,535)	(299,763)	(404,389)
Gross profit	**7,820**	**10,325**	**13,651**	**17,176**
Operating expenses	(6,001)	(7,243)	(9,397)	(11,791)
Operating income	**1,819**	**3,082**	**4,254**	**5,385**
Non-operating income	**650**	**389**	**389**	**389**
Interest income	(607)	(1,071)	(1,071)	(1,071)
Investment income	3	60	60	60
Disposal of investment	-	-	-	-
Exchange gain	-	-	-	-
Other	1,254	1,400	1,400	1,400
Pre-tax income	**2,468**	**3,471**	**4,643**	**5,774**
Income tax	(59)	(137)	(184)	(228)
Minority interests	4	-	-	-
Net income	**2,413**	**3,334**	**4,458**	**5,546**
Adj. wtd. Avg. shrs (m)	1,472	1,472	1,472	1,472
Reported EPS (Rmb)	**1.64**	**2.26**	**3.03**	**3.77**
Diluted shrs (m)	1,472	1,472	1,472	1,472
Diluted EPS (Rmb)	**1.64**	**2.26**	**3.03**	**3.77**

Consolidated Cash Flow Statement

RMBmn (Year End Dec 31)	2025P	2026E	2027E	2028E
Operating Cashflow	**3,394**	**(1,982)**	**(4,015)**	**(4,444)**
Net Profits	2,413	3,334	4,458	5,546
Depreciation & Amort.	0	0	0	0
Investment losses/(income)	(3)	(60)	(60)	(60)
Working capital change	(5,147)	(4,970)	(7,956)	(9,388)
Other adjustments	6,131	(285)	(458)	(541)
Investing Cashflow	**(1,648)**	**(2,218)**	**(3,134)**	**(4,215)**
Capex	(1,648)	(2,219)	(3,134)	(4,216)
Change of L/T investment	0	0	0	0
Change of S/T investment	0	0	0	0
Other adjustments	0	0	0	0
Financing Cashflow	**708**	**3,639**	**4,105**	**4,227**
Increase in L/T debt	0	0	0	0
Increase in S/T debt	0	3,000	3,000	3,000
Issuance of stock	(0)	0	0	0
Cash dividends	(169)	(362)	(500)	(669)
Other adjustments	877	1,001	1,605	1,896
FX adjustment	0	0	0	0
Net change in cash	**2,454**	**(561)**	**(3,044)**	**(4,431)**

Consolidated Balance Sheet

RMBmn (Year End Dec 31)	2025P	2026E	2027E	2028E
Cash	**9,751**	**9,190**	**6,147**	**1,715**
Mkt securities	-	-	-	-
AR/NR	18,126	24,405	34,475	46,372
Inventory	43,949	59,230	83,934	113,229
Others	824	1,109	1,567	2,108
Current Assets	**72,651**	**93,934**	**126,123**	**163,424**
Long-term investments	570	570	570	570
Fixed assets	4,530	6,748	9,882	14,097
Other assets	1,135	1,135	1,135	1,135
Total Assets	**78,886**	**102,388**	**137,710**	**179,226**
S/T borrowings	1,395	4,395	7,395	10,395
AP/NP	21,975	29,615	41,967	56,614
Other ST liabilities	25,738	34,686	49,153	66,309
Total Current Liabilities	**49,108**	**68,697**	**98,515**	**133,319**
L/T debt	4,317	4,317	4,317	4,317
Other LT libilities	2,889	3,890	5,495	7,391
Total Liabilities	**56,314**	**76,904**	**108,328**	**145,027**
Common shares	1,472	1,472	1,472	1,472
Retained Earnings	13,093	16,005	19,904	24,720
Other SH' Equity	8,006	8,006	8,006	8,006
Total Shareholders' Equity	**22,572**	**25,484**	**29,382**	**34,199**
Total Liab./SH's Equity	**78,886**	**102,388**	**137,710**	**179,226**

Consolidated Financial Ratios

	2025P	2026E	2027E	2028E
Margins (%)				
Gross margin	4.7	4.7	4.4	4.1
Operating margin	1.1	1.4	1.4	1.3
Pretax margin	1.5	1.6	1.5	1.4
Net margin	1.5	1.5	1.4	1.3
YoY growth (%)				
Sales	43.6	34.6	41.3	34.5
Operating profits	(6.7)	69.4	38.0	26.6
Pretax profits	4.5	40.6	33.8	24.4
Net profits	5.3	38.2	33.7	24.4
Others				
Cash dividend payout (%)	15	15	15	15
Cash div (Rmb)	1.7	2.3	3.1	3.9
Yield (%)	4	6	8	10
Net Debt/Equity (%)	(18)	(2)	19	38
Liabilities/Equity (%)	249	302	369	424
Liabilities/Assets (%)	71	75	79	81
ROAE (%)	11	14	16	17
ROAA (%)	3	4	4	3
AR/NR Turnover (days)	33	35	34	35
Inventory Turnover (days)	98	89	87	89
AP/NP Turnover (days)	55	45	44	44
Cash conversion cycle	76	79	78	79

Source: Company data, Morgan Stanley Research (E) estimates.

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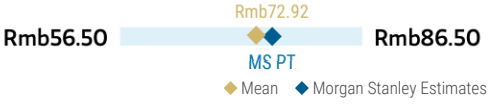
Risk Reward – Inspur Electronic Information (000977.SZ)

Key beneficiary of China's localization efforts, but valuation keeps us EW

PRICE TARGET Rmb75.00

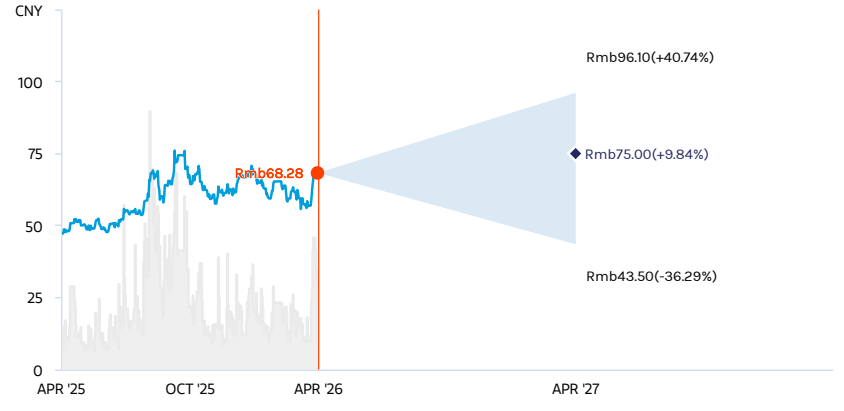
We use a residual income model for our PT. Key assumptions include a cost of equity at 8.4% (beta of 1.2, equity risk premium of 5.9% and risk-free rate of 1.3%) a mid-term growth rate of 11% and a terminal growth rate of 3%.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



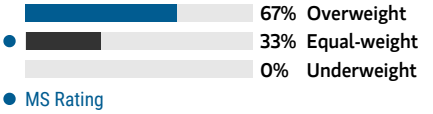
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Key beneficiary of rising adoption of local brands in China driving demand growth, and likely beneficiary of AI story in China.
- Aims to move to mid-range/high-end and overseas mature markets, but limited traction in the past two years. We like its ambition but progress has been slow over the past few years.
- Potential further restrictions on US chip exports remains an overhang for Inspur.
- Valuation is insufficiently attractive at ~23x 2027e P/E, vs. our target implied P/E of ~25x, so we stay EW.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb96.10

32x 2027e EPS

Strong sales growth with accelerating OPM expansion: We project a total sales CAGR of 70-75% in 2025-28, driven by share gains in China, higher exposure to the mid-range to high-end server market and faster expansion into overseas markets. We estimate OPM to improve to 5% or above by 2028 from 1.7% in 2024 and 1.1% in 2025.

BASE CASE Rmb75.00

25x 2027e EPS

Decent sales growth with a slight decrease in OPM: We project a total sales CAGR of 35-40% in 2025-28, driven by datacenter demand. We estimate OPM to be 1.3% by 2028 vs. 1.7% in 2024 and 1.1% in 2025, due to the dilution of AI servers, partially offset by cost optimization.

BEAR CASE Rmb43.50

14.5x 2027e EPS

Flattish sales growth with larger decline in OPM: We project total sales CAGR to be 0-5% in 2025-28 due to lower-than-expected economic growth in China and fierce competition. We estimate OPM to decline to 1.0% by 2028, vs. 1.7% in 2024 and 1.1% in 2025.

Risk Reward – Inspur Electronic Information (000977.SZ)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Server shipment y/y (%)	(12.0)	11.6	10.0	7.8
Server OPM (%)	1.2	1.1	1.1	1.1
Server ASP (US$) (Rmb)	25,050	23,821	23,488	22,123

INVESTMENT DRIVERS

- Server demand
- Server ASP

GLOBAL REVENUE EXPOSURE

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected shipment growth, driving larger operating leverage to offset some opex increases.
- Faster-than-expected share gains at mid-range/high-end servers driving margin recovery.
- Lower-than-expected increases in opex thanks to effective cost controls.

RISKS TO DOWNSIDE

- Weaker-than-expected domestic/overseas shipment growth.
- Trade tension escalates.
- Higher opex spend to penetrate into overseas market.

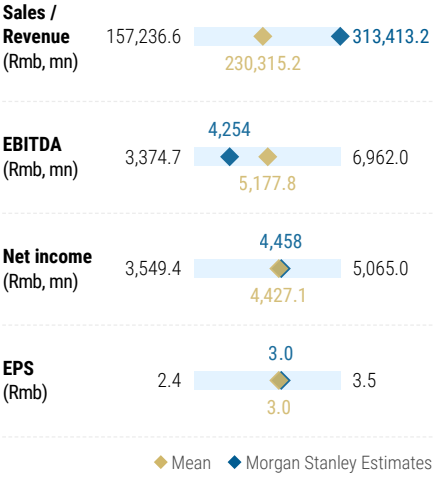
OWNERSHIP POSITIONING

Inst. Owners, % Active 36.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

Shennan Circuits: Earnings Estimate Changes

Our 2026 and 2027 EPS estimates increase 3% and 7% each, driven by higher revenue and margins assumptions driven by increased server demand estimates.

Exhibit 44: Earnings Estimate Changes

Year to Dec. 31	2025E			2026E			2027E		
(RMB mn)	New	Old	% diff	New	Old	% diff	New	Old	% diff
P&L Summary									
Net sales	**23,647**	**23,647**	**0%**	**30,473**	**30,035**	**1%**	**36,792**	**35,399**	**4%**
COGS	(17,076)	(17,076)		(21,286)	(21,045)		(24,912)	(24,186)	
Gross profit	**6,571**	**6,571**	**0%**	**9,187**	**8,990**	**2%**	**11,880**	**11,213**	**6%**
Operating expenses	(3,038)	(3,038)		(3,849)	(3,795)		(4,294)	(4,133)	
Operating income	**3,533**	**3,533**	**0%**	**5,338**	**5,196**	**3%**	**7,586**	**7,080**	**7%**
Non-operating income	91	91		(159)	(159)		(159)	(159)	
Pre-tax income	**3,624**	**3,624**	**0%**	**5,179**	**5,036**	**3%**	**7,427**	**6,920**	**7%**
Income tax	(345)	(345)		(451)	(438)		(643)	(599)	
Minority interest	(3)	(3)		-	-		-	-	
Net income	**3,276**	**3,276**	**0%**	**4,728**	**4,598**	**3%**	**6,783**	**6,321**	**7%**
EPS (RMB)	**4.91**	**4.91**	**0%**	**7.09**	**6.90**	**3%**	**10.17**	**9.48**	**7%**
Margins			***ppt***			***ppt***			***ppt***
Gross margin	27.8%	27.8%	0.0	30.1%	29.9%	0.2	32.3%	31.7%	0.6
Operating margin	14.9%	14.9%	0.0	17.5%	17.3%	0.2	20.6%	20.0%	0.6
Pretax margin	15.3%	15.3%	0.0	17.0%	16.8%	0.2	20.2%	19.6%	0.6
Net margin	13.9%	13.9%	0.0	15.5%	15.3%	0.2	18.4%	17.9%	0.6

Source: Morgan Stanley Research (E) estimates.

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Price Target Discussion and Valuation Methodology

We raise our 12-month price target to Rmb280 (39x 2026e EPS or 27.5x 2027e EPS), up from Rmb260, on the back of higher earnings estimates for CY26e and CY27e: Our base case scenario value is derived from a residual income (RI) model. Our key assumptions are all unchanged, including a cost of equity of 6.7% (beta of 1.1, equity risk premium 5.0%, and risk-free rate of 1.3%), a medium-term growth rate of 7.0%, and a terminal growth rate of 4.0%.

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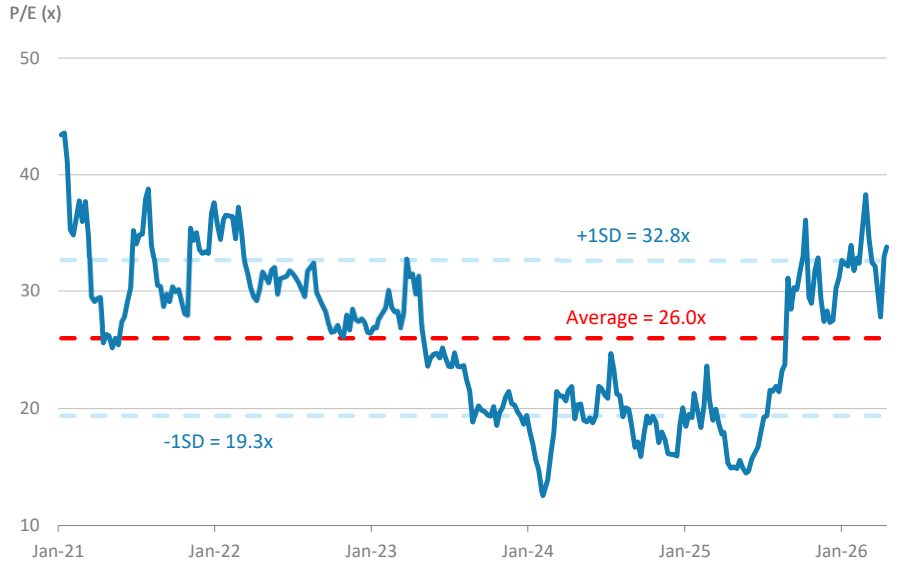
Our bull and bear case values increase to Rmb388 and Rmb167, respectively: This is in line with the magnitude of increase in our base case value.

Exhibit 45: Residual Income (RI) Model

RMB mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity	**20,929**	**26,132**	**31,519**	**37,283**	**43,451**	**50,050**	**57,112**	**64,667**	**72,752**	**81,402**	**90,658**
Net Profit	**4,728**	**6,783**	**7,258**	**7,766**	**8,310**	**8,892**	**9,514**	**10,180**	**10,893**	**11,655**	**12,471**
Return on Equity	**24.7%**	**28.8%**	**25.2%**	**22.6%**	**20.6%**	**19.0%**	**17.8%**	**16.7%**	**15.9%**	**15.1%**	**14.5%**
Beta	1.1	1.1	1.1	1.1	1.1	1.1	1.1	1.1	1.1	1.1	1.1
Equity Risk Premium (Rm-Rf)	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Risk Free Rate (Rf)	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%
Cost of Equity	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%
Beginning Equity Capital	20,929										
PV of Forecast Period	38,194										
PV of Continuing Value	127,574										
Equity Value	**186,697**										
No. of Shares	667										
Projected Price (RMB)	**280.0**										

Source: Morgan Stanley Research (E) estimates.

Exhibit 46: Shennan Circuits' five-year P/E chart



Source: TEJ, Morgan Stanley Research (E) estimates.

Financials

Exhibit 47: Quarterly Earnings Estimates

RMB mn	1Q25	2Q25	3Q25	4Q25P	1Q26E	2Q26E	3Q26E	4Q26E	2024A	2025E	2026E	2027E
Net sales	**4,783**	**5,671**	**6,301**	**6,893**	**6,462**	**7,340**	**8,028**	**8,643**	**17,907**	**23,647**	**30,473**	**36,792**
COGS	(3,621)	(4,144)	(4,364)	(4,947)	(4,539)	(5,160)	(5,587)	(6,000)	(13,590)	(17,076)	(21,286)	(24,912)
Gross profit	**1,162**	**1,527**	**1,937**	**1,946**	**1,923**	**2,180**	**2,441**	**2,643**	**4,317**	**6,571**	**9,187**	**11,880**
Operating expenses	(622)	(668)	(860)	(887)	(872)	(918)	(987)	(1,072)	(2,302)	(3,038)	(3,849)	(4,294)
SG&A, R&D exp.	(622)	(668)	(860)	(887)	(872)	(918)	(987)	(1,072)	(2,302)	(3,038)	(3,849)	(4,294)
Employee bonus	13	14	15	16	17	18	19	20	0	1	2	3
Operating income	**540**	**858**	**1,077**	**1,058**	**1,050**	**1,262**	**1,454**	**1,572**	**2,015**	**3,533**	**5,338**	**7,586**
Non-operating income	**(17)**	**117**	**(17)**	**6**	**(40)**	**(40)**	**(40)**	**(40)**	**9**	**91**	**(159)**	**(159)**
Interest income	(131)	(93)	(116)	(95)	(95)	(95)	(95)	(95)	(283)	(435)	(379)	(379)
Investment income	3	0	(0)	(3)	5	5	5	5	4	(0)	20	20
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0	0
Exchange gain	0	0	0	0	0	0	0	0	0	0	0	0
Other	111	210	100	105	50	50	50	50	288	526	200	200
Pre-tax income	**523**	**976**	**1,060**	**1,065**	**1,011**	**1,223**	**1,414**	**1,532**	**2,023**	**3,624**	**5,179**	**7,427**
Income tax	(31)	(106)	(93)	(114)	(81)	(134)	(113)	(123)	(145)	(345)	(451)	(643)
Minority interest	(1)	(0)	(1)	(0)	0	0	0	0	(1)	(3)	0	0
Net income	**491**	**869**	**966**	**950**	**930**	**1,088**	**1,301**	**1,409**	**1,878**	**3,276**	**4,728**	**6,783**
Adj.wtd.avg.shrs (mn)	667	667	667	667	667	667	667	667	667	667	667	667
EPS (RMB)	**0.74**	**1.30**	**1.45**	**1.42**	**1.39**	**1.63**	**1.95**	**2.11**	**2.82**	**4.91**	**7.09**	**10.17**
Fully diluted shares (mn)	667	667	667	667	667	667	667	667	667	667	667	667
Diluted EPS (RMB)	**0.74**	**1.30**	**1.45**	**1.42**	**1.39**	**1.63**	**1.95**	**2.11**	**2.82**	**4.91**	**7.09**	**10.17**
Margins (%)												
Gross Margin	24.3	26.9	30.7	28.2	29.8	29.7	30.4	30.6	24.1	27.8	30.1	32.3
Operating Margin	11.3	15.1	17.1	15.4	16.3	17.2	18.1	18.2	11.3	14.9	17.5	20.6
Pretax Margin	10.9	17.2	16.8	15.4	15.6	16.7	17.6	17.7	11.3	15.3	17.0	20.2
Net Margin	10.3	15.3	15.3	13.8	14.4	14.8	16.2	16.3	10.5	13.9	15.5	18.4
QoQ Growth (%)												
Sales	-2	19	11	9	-6	14	9	8				
Gross Profit	12	31	27	0	-1	13	12	8				
Operating Profit	47	59	25	-2	-1	20	15	8				
Pretax Profit	24	86	9	0	-5	21	16	8				
Net Profit	26	77	11	-2	-2	17	20	8				
YoY Growth (%)												
Sales	21	30	33	42	35	29	27	25	32	32	29	21
Gross Profit	20	33	66	87	66	43	26	36	41	52	40	29
Operating Profit	30	41	73	188	94	47	35	49	79	75	51	42
Pretax Profit	29	46	102	151	93	25	33	44	45	79	43	43
Net Profit	29	43	93	144	89	25	35	48	34	74	44	43

Source: Company data, Morgan Stanley Research (E) estimates.

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Exhibit 48: Consolidated Financial Summary

Consolidated Income Statement

RMBmn (Year End Dec 31)	2024A	2025E	2026E	2027E
Net sales	**17,907**	**23,647**	**30,473**	**36,792**
COGS	(13,590)	(17,076)	(21,286)	(24,912)
Gross profit	**4,317**	**6,571**	**9,187**	**11,880**
Operating expenses	(2,302)	(3,038)	(3,849)	(4,294)
Operating income	**2,015**	**3,533**	**5,338**	**7,586**
Non-operating income	**9**	**91**	**(159)**	**(159)**
Interest income	(283)	(435)	(379)	(379)
Investment income	4	(0)	20	20
Disposal of investment	-	-	-	-
Exchange gain	-	-	-	-
Other	288	526	200	200
Pre-tax income	**2,023**	**3,624**	**5,179**	**7,427**
Income tax	(145)	(345)	(451)	(643)
Minority interests	(1)	(3)	-	-
Net income	**1,878**	**3,276**	**4,728**	**6,783**
Adj. wtd. Avg. shrs (m)	667	667	667	667
Reported EPS (Rmb)	**2.82**	**4.91**	**7.09**	**10.17**
Diluted shrs (m)	667	667	667	667
Diluted EPS (Rmb)	**2.82**	**4.91**	**7.09**	**10.17**

Consolidated Cash Flow Statement

RMBmn (Year End Dec 31)	2024A	2025E	2026E	2027E
Operating Cashflow	**2,982**	**6,142**	**4,850**	**6,836**
Net Profits	1,878	3,276	4,728	6,783
Depreciation & Amort.	0	0	0	0
Investment losses/(income)	(4)	0	(20)	(20)
Working capital change	(441)	2,158	177	104
Other adjustments	1,549	707	(34)	(32)
Investing Cashflow	**(1,925)**	**(3,332)**	**(4,293)**	**(5,184)**
Capex	(2,526)	(3,336)	(4,299)	(5,191)
Change of L/T investment	0	0	0	0
Change of S/T investment	0	0	0	0
Other adjustments	598	0	0	0
Financing Cashflow	**(389)**	**70**	**(356)**	**(852)**
Increase in L/T debt	133	0	0	0
Increase in S/T debt	0	500	500	500
Issuance of stock	0	(0)	0	0
Cash dividends	(543)	(620)	(1,081)	(1,560)
Other adjustments	21	189	225	208
FX adjustment	32	0	0	0
Net change in cash	**701**	**2,880**	**201**	**800**

Consolidated Balance Sheet

RMBmn (Year End Dec 31)	2024A	2025E	2026E	2027E
Cash	**1,551**	**4,431**	**4,632**	**5,432**
Mkt securities	-	-	-	-
AR/NR	5,082	2,601	3,352	4,047
Inventory	3,395	2,561	3,193	3,737
Others	826	118	152	184
Current Assets	**10,854**	**9,712**	**11,329**	**13,400**
Long-term investments	3	3	3	3
Fixed assets	13,283	16,615	20,908	26,092
Other assets	1,161	1,161	1,161	1,161
Total Assets	**25,302**	**27,492**	**33,402**	**40,657**
S/T borrowings	10	510	1,010	1,510
AP/NP	4,349	2,391	2,980	3,488
Other ST liabilities	3,130	3,933	4,902	5,737
Total Current Liabilities	**7,489**	**6,833**	**8,892**	**10,735**
L/T debt	2,577	2,577	2,577	2,577
Other LT libilities	590	779	1,004	1,212
Total Liabilities	**10,656**	**10,189**	**12,473**	**14,524**
Common shares	513	513	513	513
Retained Earnings	7,594	10,251	13,878	19,081
Other SH' Equity	6,539	6,539	6,539	6,539
Total Shareholders' Equity	**14,646**	**17,302**	**20,929**	**26,132**
Total Liab./SH's Equity	**25,302**	**27,492**	**33,402**	**40,657**

Consolidated Financial Ratios

	2024A	2025E	2026E	2027E
Margins (%)				
Gross margin	24.1	27.8	30.1	32.3
Operating margin	11.3	14.9	17.5	20.6
Pretax margin	11.3	15.3	17.0	20.2
Net margin	10.5	13.9	15.5	18.4
YoY growth (%)				
Sales	32.4	32.1	28.9	20.7
Operating profits	79.3	75.4	51.1	42.1
Pretax profits	44.7	79.1	42.9	43.4
Net profits	34.3	74.5	44.3	43.5
Others				
Cash dividend payout (%)	33	33	33	-
Cash div (Rmb)	0.9	1.6	2.3	3.4
Yield (%)	1	1	1	2
Net Debt/Equity (%)	7	(8)	(5)	(5)
Liabilities/Equity (%)	73	59	60	56
Liabilities/Assets (%)	42	37	37	36
ROAE (%)	13	21	25	29
ROAA (%)	8	12	16	18
AR/NR Turnover (days)	91	59	36	37
Inventory Turnover (days)	82	64	49	51
AP/NP Turnover (days)	102	72	46	47
Cash conversion cycle	72	51	39	40

Source: Company data, Morgan Stanley Research (E) estimates.

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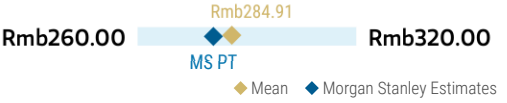
Risk Reward – Shennan Circuits Co Ltd (002916.SZ)

Beneficiary of supply chain localization; EW on valuation

PRICE TARGET Rmb280.00

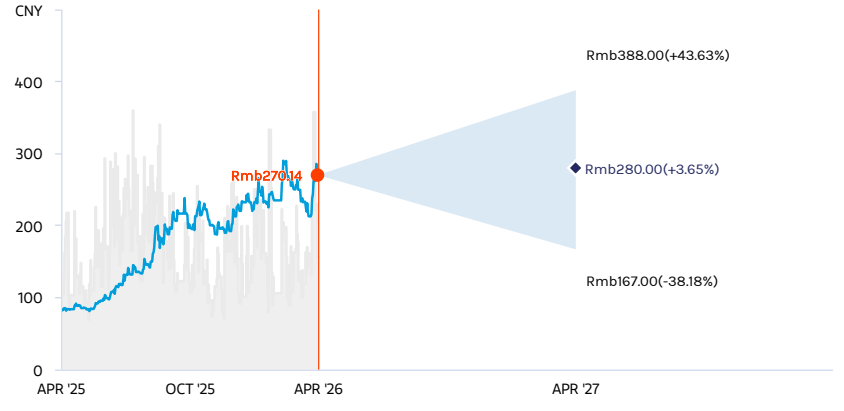
Base case, derived from a residual income (RI) model. Key assumptions include a cost of equity of 6.7% (beta of 1.1, equity premium of 5%, and risk-free rate of 1.3%), 7% medium-term growth rate, and 4% terminal growth rate.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



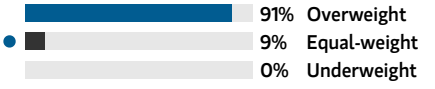
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We view the stock as fairly valued based on current demand indicators, with expectations for rising automotive and data center PCB already elevated for 2026.
- Shennan's "China localization" story should continue to play out in the longer term for PCB and IC substrates, and it should be the main beneficiary amid China's semiconductor self-sufficiency drive.
- Demand for 5G base station PCB was slow in 2025, and has remained slow in 2026, with limited visibility on the trajectory of demand improvement (both domestic and overseas).
- Server/Optical module PCB demand is improving for cloud in China, and new platform penetration rate continues to rise.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles:	*Positive*
New Data Era:	*Positive*
Pricing Power:	*Negative*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb388.00

55x 2026e EPS

Shennan's share of the 5G base station market expands to 20-25% (vs. base case scenario of 15-20%), while its automotive and server PCB business doubles over the next two years and its IC substrate business grows 40-50% YoY in 2026 (vs. base case scenario of ~30%). This results in a 50-60% revenue CAGR in 2024-27e.

BASE CASE Rmb280.00

39x 2026e EPS

We expect Shennan's share of the 5G base station market to be stable at 15-20%, while its server and automotive PCB continues to rise steadily and its IC substrate business continues to outgrow the market in 2026e as they gain share, especially in the domestic market. This results in a 25-30% revenue CAGR in 2024-27e.

BEAR CASE Rmb167.00

24x 2026e EPS

Shennan's share of the 5G base station market falls to 5-10% (vs. base case scenario of 15-20%), while its server and automotive PCB fails to continue to grow and its IC substrate business grows only slightly above the market in 2026. This results in a 0-10% revenue CAGR in 2024-27e.

Risk Reward – Shennan Circuits Co Ltd (002916.SZ)

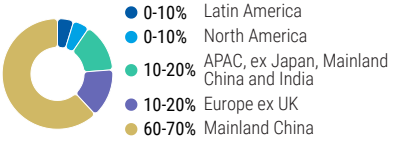
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
PCB revenue y/y (%)	30	37	24	18
IC substrate revenue y/y (%)	37	31	66	36
PCB GM (%)	31.6	35.5	36.3	38.5
IC substrate GM (%)	18.1	22.6	30.7	33.6

INVESTMENT DRIVERS

- 5G base station deployment schedule
- Supplier share allocation
- China's data center demand
- China's semiconductor localization schedule

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 **MOST** 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Rising demand for 5G and data center PCB.
- Further share gain for 5G and data center PCB.
- Rising IC substrate demand driven by acceleration in China's semiconductor localization.

RISKS TO DOWNSIDE

- Rising competition for 5G and data center PCB.
- Delay in 5G network deployment.
- Escalating US-China trade tensions.

OWNERSHIP POSITIONING

Inst. Owners, % Active 42.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn)	28,306.7	30,473.0 / 30,365.6	32,010.3
EBIT (Rmb, mn)	3,988.7	5,338 / 5,075.8	5,793.2
Net income (Rmb, mn)	4,131.1	4,728 / 4,991.7	5,818.0
EPS (Rmb)	6.2	7.1 / 7.4	8.5
ROE (%)	22.4	27.3 / 25.7	28.9

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Shengyi Tech: Earnings Estimate Changes

Our 2027 EPS estimate increases 6%, mainly driven by stronger demand for server PCB/ CCL, while our 2025 and 2026 earnings estimates stay unchanged.

Exhibit 49: Earnings Estimate Changes

Year to Dec. 31	2025E		% diff	2026E		% diff	2027E		% diff
(RMB mn)	New	Old		New	Old		New	Old	
P&L Summary									
Net sales	**28,431**	**28,431**	**0%**	**36,790**	**36,790**	**0%**	**46,596**	**44,411**	**5%**
COGS	(20,909)	(20,909)		(26,540)	(26,540)		(33,176)	(31,617)	
Gross profit	**7,522**	**7,522**	**0%**	**10,250**	**10,250**	**0%**	**13,420**	**12,794**	**5%**
Operating expenses	(3,072)	(3,072)		(3,939)	(3,939)		(5,013)	(4,778)	
Operating income	**4,450**	**4,450**	**0%**	**6,311**	**6,311**	**0%**	**8,407**	**8,017**	**5%**
Non-operating income	35	35		(15)	(30)		(15)	(30)	
Pre-tax income	**4,486**	**4,486**	**0%**	**6,296**	**6,281**	**0%**	**8,393**	**7,987**	**5%**
Income tax	(494)	(494)		(673)	(672)		(903)	(859)	
Minority interest	(658)	(658)		(700)	(700)		(700)	(700)	
Net income	**3,334**	**3,334**	**0%**	**4,923**	**4,909**	**0%**	**6,790**	**6,428**	**6%**
EPS (RMB)	**1.40**	**1.40**	**0%**	**2.06**	**2.06**	**0%**	**2.84**	**2.69**	**6%**
Margins									
Gross margin	26.5%	26.5%		27.9%	27.9%		28.8%	28.8%	
Operating margin	15.7%	15.7%		17.2%	17.2%		18.0%	18.1%	
Pretax margin	15.8%	15.8%		17.1%	17.1%		18.0%	18.0%	
Net margin	11.7%	11.7%		13.4%	13.3%		14.6%	14.5%	

Source: Morgan Stanley Research (E) estimates.

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Price Target Discussion and Valuation Methodology

We raise our 12-month price target to Rmb74 (36x 2026e EPS or 26x 2027e EPS), up from Rmb70, driven by our higher earnings estimates for CY27e: Our base-case scenario value, which is also our price target, is derived from a residual income (RI) model.

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Our key assumptions are all unchanged, including a cost of equity of 7.3% (beta of 1.2, equity risk premium 5.0% and risk-free rate of 1.3%), a medium-term growth rate of 10.0% and a terminal growth rate of 3.0%.

Our bull- and bear-case values increase to Rmb106 and Rmb42, respectively: This is in line with the magnitude of increase in our base-case value.

Exhibit 50: Residual Income (RI) Model

RMB mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity	**21,478**	**25,250**	**29,022**	**33,171**	**37,735**	**42,755**	**48,277**	**54,352**	**61,034**	**68,384**	**75,450**
Net Profit	**4,923**	**6,790**	**7,469**	**8,216**	**9,037**	**9,941**	**10,935**	**12,029**	**13,232**	**14,555**	**14,992**
Return on Equity	**24.6%**	**29.1%**	**27.5%**	**26.4%**	**25.5%**	**24.7%**	**24.0%**	**23.4%**	**22.9%**	**22.5%**	**20.8%**
Beta	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2
Equity Risk Premium (Rm-Rf)	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Risk Free Rate (Rf)	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%
Cost of Equity	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%
Beginning Equity Capital	21,478										
PV of Forecast Period	46,153										
PV of Continuing Value	109,024										
Equity Value	**176,655**										
No. of Shares	2,388										
Projected Price (RMB)	**74.0**										

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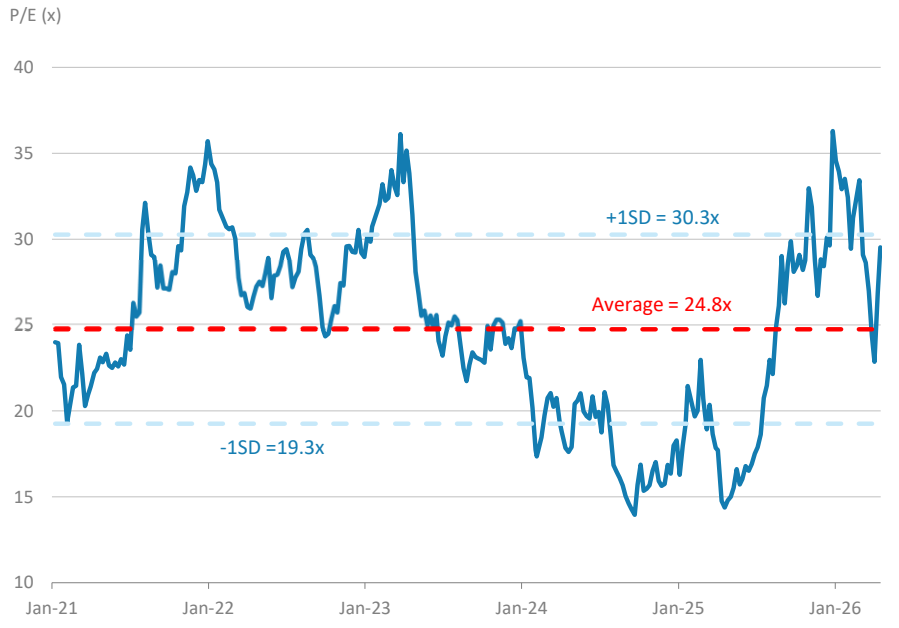
Source: Morgan Stanley Research (E) estimates.

Exhibit 51: Shengyi Tech's five-year P/E Chart



Source: TEJ, Morgan Stanley Research (E) estimates.

Financials

Exhibit 52: Quarterly Earnings Estimates

RMB mn	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E	2024A	2025E	2026E	2027E
Net sales	**5,611**	**7,069**	**7,934**	**7,818**	**8,119**	**8,900**	**9,617**	**10,153**	**20,388**	**28,431**	**36,790**	**46,596**
COGS	(4,258)	(5,209)	(5,734)	(5,709)	(5,913)	(6,439)	(6,916)	(7,273)	(16,018)	(20,909)	(26,540)	(33,176)
Gross profit	**1,354**	**1,860**	**2,200**	**2,109**	**2,206**	**2,461**	**2,702**	**2,881**	**4,370**	**7,522**	**10,250**	**13,420**
Operating expenses	(655)	(781)	(784)	(852)	(876)	(927)	(1,029)	(1,107)	(2,372)	(3,072)	(3,939)	(5,013)
SG&A, R&D exp.	(655)	(781)	(784)	(852)	(876)	(927)	(1,029)	(1,107)	(2,372)	(3,072)	(3,939)	(5,013)
Employee bonus	9	10	11	12	13	14	15	16	1	1	2	3
Operating income	**699**	**1,079**	**1,416**	**1,257**	**1,330**	**1,534**	**1,673**	**1,774**	**1,998**	**4,450**	**6,311**	**8,407**
Non-operating income	**20**	**43**	**(24)**	**(3)**	**(4)**	**(4)**	**(4)**	**(4)**	**70**	**35**	**(15)**	**(15)**
Interest income	(37)	(51)	(84)	(63)	(63)	(63)	(63)	(63)	(184)	(234)	(251)	(251)
Investment income	14	20	20	20	16	16	16	16	55	75	64	64
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0	0
Exchange gain	0	0	0	0	0	0	0	0	0	0	0	0
Other	43	74	39	39	43	43	43	43	199	195	172	172
Pre-tax income	**719**	**1,122**	**1,391**	**1,254**	**1,327**	**1,530**	**1,669**	**1,771**	**2,068**	**4,486**	**6,296**	**8,393**
Income tax	(84)	(134)	(150)	(125)	(159)	(168)	(169)	(177)	(200)	(494)	(673)	(903)
Minority interest	(71)	(125)	(224)	(238)	(175)	(175)	(175)	(175)	(129)	(658)	(700)	(700)
Net income	**564**	**863**	**1,017**	**891**	**992**	**1,187**	**1,325**	**1,418**	**1,739**	**3,334**	**4,923**	**6,790**
Adj.wtd.avg.shrs (mn)	2,388	2,388	2,388	2,388	2,388	2,388	2,388	2,388	2,388	2,388	2,388	2,388
EPS (RMB)	**0.24**	**0.36**	**0.43**	**0.37**	**0.42**	**0.50**	**0.56**	**0.59**	**0.73**	**1.40**	**2.06**	**2.84**
Fully diluted shares (mn)	2,388	2,388	2,388	2,388	2,388	2,388	2,388	2,388	2,388	2,388	2,388	2,388
Diluted EPS (RMB)	**0.24**	**0.36**	**0.43**	**0.37**	**0.42**	**0.50**	**0.56**	**0.59**	**0.73**	**1.40**	**2.06**	**2.84**
Margins (%)												
Gross Margin	24.1	26.3	27.7	27.0	27.2	27.7	28.1	28.4	21.4	26.5	27.9	28.8
Operating Margin	12.4	15.3	17.8	16.1	16.4	17.2	17.4	17.5	9.8	15.7	17.2	18.0
Pretax Margin	12.8	15.9	17.5	16.0	16.3	17.2	17.4	17.4	10.1	15.8	17.1	18.0
Net Margin	10.0	12.2	12.8	11.4	12.2	13.3	13.8	14.0	8.5	11.7	13.4	14.6
QoQ Growth (%)												
Sales	-1	26	12	-1	4	10	8	6				
Gross Profit	12	37	18	-4	5	12	10	7				
Operating Profit	44	54	31	-11	6	15	9	6				
Pretax Profit	59	56	24	-10	6	15	9	6				
Net Profit	54	53	18	-12	11	20	12	7				
YoY Growth (%)												
Sales	27	36	55	39	45	26	21	30	23	39	29	27
Gross Profit	47	68	93	75	63	32	23	37	42	72	36	31
Operating Profit	58	86	189	158	90	42	18	41	55	123	42	33
Pretax Profit	58	76	164	178	85	36	20	41	63	117	40	33
Net Profit	44	60	131	143	76	38	30	59	49	92	48	38

Source: Company data, Morgan Stanley Research (E) estimates.

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Exhibit 53: Consolidated Financial Summary

Consolidated Income Statement

RMBmn (Year End Dec 31)	2024A	2025E	2026E	2027E
Net sales	**20,388**	**28,431**	**36,790**	**46,596**
COGS	(16,018)	(20,909)	(26,540)	(33,176)
Gross profit	**4,370**	**7,522**	**10,250**	**13,420**
Operating expenses	(2,372)	(3,072)	(3,939)	(5,013)
Operating income	**1,998**	**4,450**	**6,311**	**8,407**
Non-operating income	**70**	**35**	**(15)**	**(15)**
Interest income	(184)	(234)	(251)	(251)
Investment income	55	75	64	64
Disposal of investment	-	-	-	-
Exchange gain	-	-	-	-
Other	199	195	172	172
Pre-tax income	**2,068**	**4,486**	**6,296**	**8,393**
Income tax	(200)	(494)	(673)	(903)
Minority interests	(129)	(658)	(700)	(700)
Net income	**1,739**	**3,334**	**4,923**	**6,790**
Adj. wtd. Avg. shrs (m)	2,388	2,388	2,388	2,388
Reported EPS (Rmb)	**0.73**	**1.40**	**2.06**	**2.84**
Diluted shrs (m)	2,388	2,388	2,388	2,388
Diluted EPS (Rmb)	**0.73**	**1.40**	**2.06**	**2.84**

Consolidated Cash Flow Statement

RMBmn (Year End Dec 31)	2024A	2025E	2026E	2027E
Operating Cashflow	**1,456**	**10,293**	**4,896**	**6,775**
Net Profits	1,739	3,334	4,923	6,790
Depreciation & Amort.	0	0	0	0
Investment losses/(income)	(55)	(75)	(64)	(64)
Working capital change	(1,080)	6,633	79	98
Other adjustments	853	401	(42)	(49)
Investing Cashflow	**(934)**	**(269)**	**(348)**	**(441)**
Capex	(926)	(284)	(368)	(466)
Change of L/T investment	(55)	0	0	0
Change of S/T investment	0	0	0	0
Other adjustments	36	0	0	0
Financing Cashflow	**(1,276)**	**(857)**	**(1,701)**	**(2,602)**
Increase in L/T debt	(281)	0	0	0
Increase in S/T debt	0	0	0	0
Issuance of stock	0	(102)	0	0
Cash dividends	(1,192)	(1,043)	(2,000)	(2,954)
Other adjustments	196	288	300	352
FX adjustment	3	0	0	0
Net change in cash	**(752)**	**9,167**	**2,847**	**3,731**

Consolidated Balance Sheet

RMBmn (Year End Dec 31)	2024A	2025E	2026E	2027E
Cash	**2,004**	**11,171**	**14,018**	**17,749**
Mkt securities	-	-	-	-
AR/NR	8,946	3,127	4,047	5,126
Inventory	5,119	3,136	3,981	4,976
Others	543	142	184	233
Current Assets	**16,613**	**17,577**	**22,230**	**28,084**
Long-term investments	689	689	689	689
Fixed assets	9,105	9,374	9,723	10,164
Other assets	1,237	1,237	1,237	1,237
Total Assets	**27,643**	**28,877**	**33,878**	**40,174**
S/T borrowings	1,837	1,837	1,837	1,837
AP/NP	5,012	2,927	3,716	4,645
Other ST liabilities	3,000	3,916	4,971	6,214
Total Current Liabilities	**9,849**	**8,680**	**10,523**	**12,695**
L/T debt	558	558	558	558
Other LT libilities	731	1,020	1,320	1,671
Total Liabilities	**11,138**	**10,257**	**12,400**	**14,924**
Common shares	2,429	2,327	2,327	2,327
Retained Earnings	5,867	8,083	10,942	14,714
Other SH' Equity	8,208	8,208	8,208	8,208
Total Shareholders' Equity	**16,505**	**18,619**	**21,478**	**25,250**
Total Liab./SH's Equity	**27,643**	**28,877**	**33,878**	**40,174**

Consolidated Financial Ratios

	2024A	2025E	2026E	2027E
Margins (%)				
Gross margin	21.4	26.5	27.9	28.8
Operating margin	9.8	15.7	17.2	18.0
Pretax margin	10.1	15.8	17.1	18.0
Net margin	8.5	11.7	13.4	14.6
YoY growth (%)				
Sales	22.9	39.4	29.4	26.7
Operating profits	54.8	122.7	41.8	33.2
Pretax profits	62.7	116.9	40.4	33.3
Net profits	49.4	91.8	47.7	37.9
Others				
Cash dividend payout (%)	60	60	60	60
Cash div (Rmb)	0.4	0.8	1.2	1.7
Yield (%)	1	3	4	6
Net Debt/Equity (%)	2	(47)	(54)	(61)
Liabilities/Equity (%)	67	55	58	59
Liabilities/Assets (%)	40	36	37	37
ROAE (%)	11	19	25	29
ROAA (%)	7	12	16	18
AR/NR Turnover (days)	139	77	36	36
Inventory Turnover (days)	107	72	49	49
AP/NP Turnover (days)	101	69	46	46
Cash conversion cycle	144	80	39	39

Source: Company data, Morgan Stanley Research (E) estimates.

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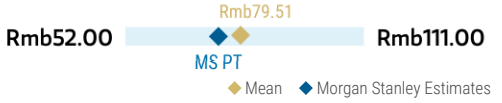
Risk Reward – Shengyi Technology Co Ltd. (600183.SS)

2026 a year of share gains for CCL business, but valuation keeps us EW

PRICE TARGET Rmb74.00

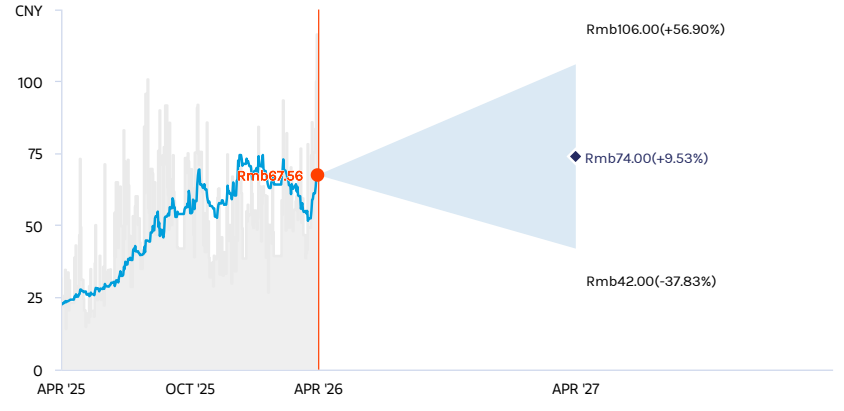
Base case, derived from a residual income (RI) model. Key assumptions include a cost of equity of 7.3% (beta of 1.2, equity premium of 5% and risk-free rate of 1.3%), 10% medium-term growth rate and 3% terminal growth rate.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



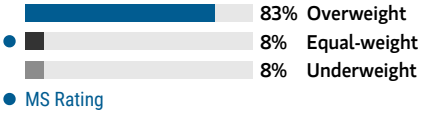
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We continue to expect y/y improvement in 2026. Consumer electronics demand will decline y/y due to price hikes induced by rising memory prices, but increasing server demand will likely offset the impacts.
- We should be mindful of the cost headwinds from price hikes of PCB/CCL raw materials, such as copper, gold, glass cloth and resin.
- We expect Shengyi's CCL business to enjoy share gains in the AI server market, while its PCB business will continue to suffer from share loss for a major ASIC project in 2026.
- Valuation looks fair, in our view, so we are EW.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb106.00

51x 2026e P/E

We assume a 60-65% revenue CAGR, 2024-27, with a 90-95% earnings CAGR over the same period. This means we are projecting operating margin to expand from 9.8% in 2024 to ~26% by 2027.

BASE CASE Rmb74.00

36x 2026e P/E

We forecast a 30-35% revenue CAGR, 2024-27, with a 60-65% operating profit CAGR over the same period. This means we are projecting operating margin to improve from 9.8% in 2024 to ~18% by 2027.

BEAR CASE Rmb42.00

20x 2026e P/E

We assume a 0-10% revenue CAGR, 2024-27, with only 5-15% earnings CAGR over the same period. This means we are projecting operating margin to increase slightly from 9.8% in 2024 to ~10% by 2027.

Risk Reward – Shengyi Technology Co Ltd. (600183.SS)

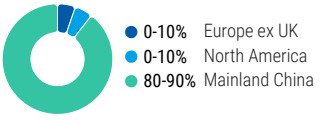
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
CCL sales y/y (%) (%)	18	26	32	28
PCB sales y/y (%) (%)	30	88	29	26
CCL GM (%) (%)	21.5	24.7	26.3	27.8
PCB GM (%) (%)	19.4	29.4	30.7	30.7

INVESTMENT DRIVERS

- 5G base station deployment schedule
- Supplier share allocation
- China's data center demand

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Accelerated demand for 5G and data center CCL/PCB.
- Further share gains for 5G and data center CCL/PCB.
- Meaningful penetration into IC substrate CCL, benefiting from China's semiconductor localization.

RISKS TO DOWNSIDE

- Rising competition for 5G and data center CCL/PCB.
- Delay in 5G network deployment.
- Escalating US-China trade tensions.

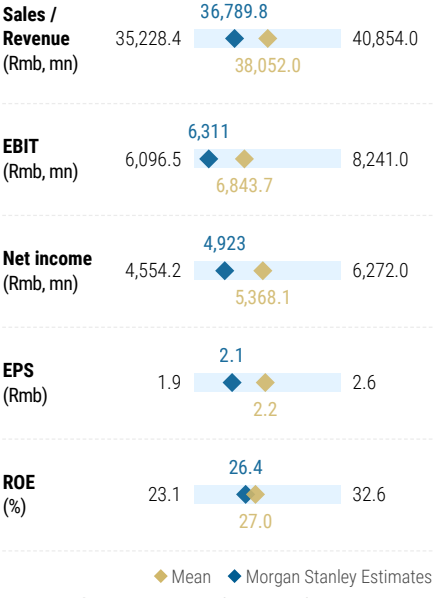
OWNERSHIP POSITIONING

Inst. Owners, % Active 73.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

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4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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